

UBS Global I/O Semiconductors

Auto semis: Sustained Analog Momentum, but Selectivity Warranted

Analog upcycle continues, but we remain selective

Following Q1, we have reviewed the latest leading indicators and refreshed our outlook for the automotive semiconductor market for 2026E–2027E. Recent data indicate that the cycle is progressing as expected, and we therefore leave our automotive estimates unchanged. However, we note some upward revisions to industrial forecasts from consensus and UBS. While pricing remains the key upside risk given pockets of supply/demand tightness, we believe these are limited—primarily within certain AI-related products—and that broader markets still face mixed demand and lingering oversupply. As such, we do not see conditions approaching a COVID-era shortage and maintain a selective stance, particularly after the recent strong performance. We also highlight a slowdown in the Chinese auto market, which could offset the recovery seen in Europe and the US.

1) Positive Analog revenue growth persisting through 2026E

Based on latest results, company guidance and consensus, positive momentum that started in Q2'25 is expected to continue throughout 2026E. Q1'26 revenue was up 20% y-o-y and consensus expects Q2 and FY26 to grow by 21% (FY26 16% previously). A supporting trend in the quarter was our [distributor tracker data](#) suggesting signs of price increases, after reports that several analog companies have increased pricing in Q1 (ie TI, IFX and NXP) due to inflation costs, which in our view suggests upside (ie flat pricing) vs previous expectations for LSD% price decline for FY26.

2) Automotive recovery is here, but there is an emerging headwind

Automotive semis revenues were up 7.8% y-o-y in Q1'26, achieving the first quarter of clear y-o-y growth in over two years, and consensus expects +9% growth in Q2'26. We forecast auto semis revs up 10% y-o-y in 2026E and +14% FY 2027 (all unchanged), primarily underpinned by the end of destocking. Despite positive trends, we are cautious around the Chinese market, with January–May retail sales data in China, and c20–30% of global automotive semiconductor demand down -15 to -20% YTD y-o-y with EVs -10 to -15% y-o-y YTD, which could raise the risk of an inventory correction in H2'26.

3) Industrial expectations lifted once again

On the industrial side, revs grew 26% y-o-y in Q1'26, driven by solid performance across the main analog players, and we expect Industrial revs to grow by 25% y-o-y in 2026E vs c16% previously. For 2027E, we forecast c16% y-o-y growth vs. 10% previously. AI continues to grow in importance with several companies lifting guidance, beating expectations, and gaining more visibility for the end-market during the quarter ([MCHP](#), [STM](#)).

Latest datapoints from the quarter

1) The latest [UBS distributor tracker data](#) showed reassuring inventory trends and that pricing continues to trend positively across the majority of products, up 2% m-o-m and 9% y-o-y; 2) April [NEV wholesale](#) volumes rebounded to 1.2m units, up 7% MoM and 8% YoY; 3) We lowered our smartphone industry unit [Sell In forecast](#) to 1.14bn or -10% YoY for 2026 (was -5%), and for 2027 to 1.16bn (+2%).

Sector preferences - remaining positive but more selective

Analog semis are trading on c30x P/E 12m fwd, vs the 10Y avg of 19x. Most preferred names are Buy-rated TI, Renesas, and STM. Least preferred are ON (Neutral), IFX (Neutral), and Melexis (Neutral).

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LEAD INDICATORS CONTINUE TO BE SUPPORTIVE

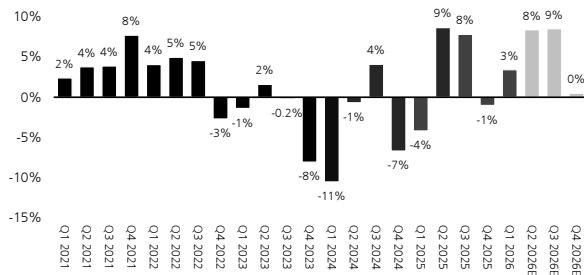
We believe lead indicators are positive into the start of FY26E.

Figure 1: UBS leading indicators for Autos/Industrial semis - we see a general positive trend in terms of cycle

	Trend																		
Indicator	Q1'22	Q2'22	Q3'22	Q4'22	Q1'23	Q2'23	Q3'23	Q4'23	Q1'24	Q2'24	Q3'24	Q4'24	Q1'25	Q2'25	Q3'25	Q4'25	Q1'26	Q2'26E	Commentary
1) Semis y-o-y revenue growth	21%	22%	23%	11%	5%	2%	-3%	-8%	-17%	-18%	-15%	-14%	-8%	1%	5%	11%	20%	21%	Positive - Revenue turned positive in Q2'25 and is estimated continue to accelerate into FY26E
2) Semis vs OEM revenue gap	20%	23%	12%	1%	-4%	-12%	-13%	-15%	-15%	-16%	-12%	-12%	-6%	-2%	-3%	7%	15%	19%	Neutral- Strong outperformance suggesting overbuilding
3) Inventory days - Semis	114	115	117	127	144	148	147	155	166	170	167	181	179	175	166	170	171	164	Positive - Inventory days showing stability in Q1 26
4) Inventory days - OEMs	75	80	75	75	79	84	77	77	80	84	79	74	75	73	72	73	77	74	Positive- Inventory days showing signs of small increase in Q1 and expected to decrease in Q2
5) Autos production y-o-y	-4%	1.3%	29.5%	3.4%	7.4%	17.1%	5.2%	10.5%	0.1%	-0.6%	-4.5%	1.0%	3.6%	3.4%	6.7%	1.1%	-	-	Neutral -Production was robust in 2025 with +3.6% growth y-o-y. We estimate +1.3% y-o-y in 2026E but with signs of decline in China

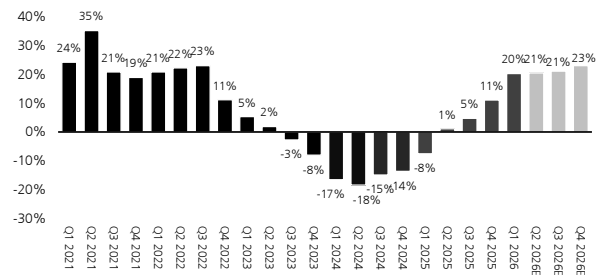
Source: UBS estimates

Figure 2: We expect next quarter to grow by 9% q-o-q after an increase of 4% in Q1'26...



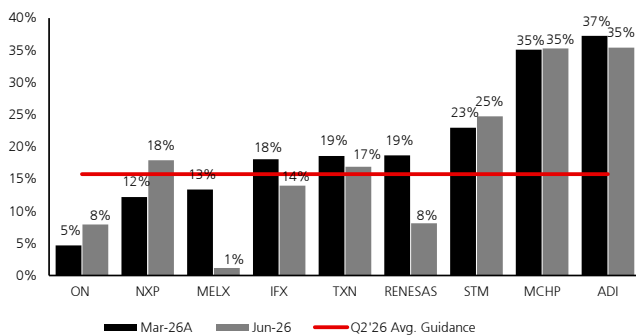
Source: UBS estimates, company data. Note: data includes TI, ON, ADI, IFX, STM, Microchip, Melexis, NXP, Renesas

Figure 3: ...Q2'26E likely to deliver 21% y-o-y growth after 20% in Q1'26



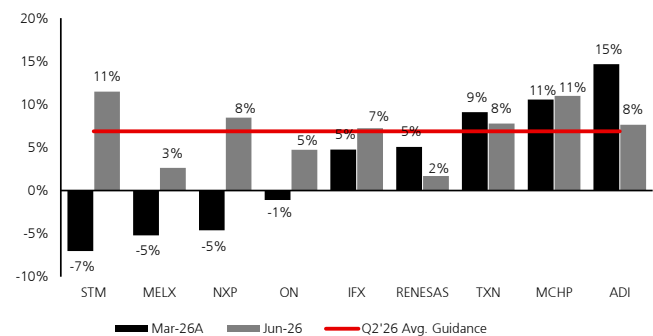
Source: UBS estimates, company data. Note: data includes TI, ON, ADI, IFX, STM, Microchip, Melexis, NXP, Renesas

Figure 4: CQ2 26E Guidance Comp. Y-o-Y % Analog Semis



Source: Company data. Note: *Renesas - growth adj. for acquisition of Dialog

Figure 5: CQ2 26E Guidance Comp. Q-o-Q % Analog Semis



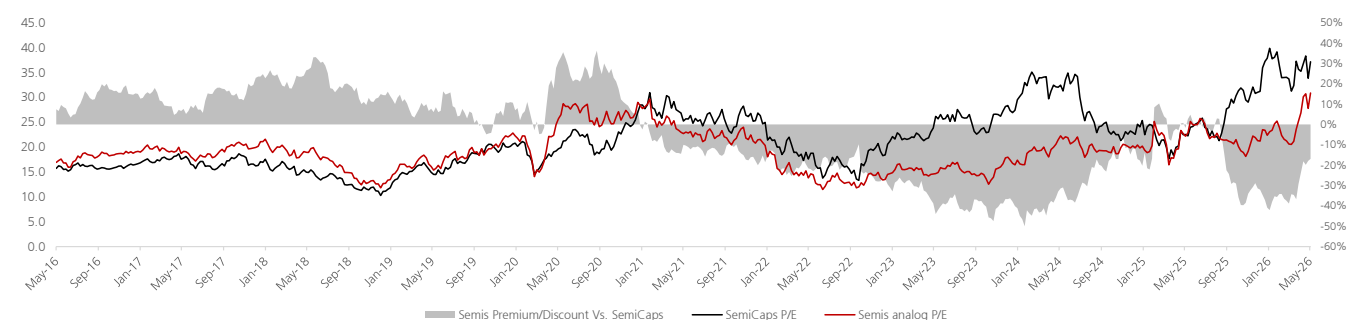
Source: Company data. Note: *Renesas - growth adj. for acquisition of Dialog

Figure 6: We estimate 10% y-o-y auto semis revenue growth in 2026E (unchanged) and +c14% in 2027E vs (unchanged) based on our bottom-up estimates.

	GARTNER HISTORICS					UBS ESTIMATES													
Semi sales (US\$bn)	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	% CAGR ('23-'27)	% CAGR ('25-'30)	
ADAS	1.7	3.0	4.1	5.1	5.9	5.4	10.4	13.9	16.1	16.7	15.3	20.3	27.0	33.8	36.6	38.8	14%	20%	
Aftermarket	2.2	2.2	2.3	2.5	2.5	2.4	2.9	3.4	3.9	3.3	3.1	3.1	3.1	3.2	3.2	3.2	-5%	1%	
Body	4.6	5.5	6.6	7.4	6.9	6.8	8.1	9.4	10.9	9.3	8.6	8.6	8.7	8.8	8.9	9.0	-5%	1%	
Chassis	4.6	4.5	5.1	5.4	5.1	5.0	5.9	6.9	8.0	6.9	6.4	6.3	6.5	6.5	6.6	6.7	-5%	1%	
Infotainment	7.2	7.7	8.4	9.0	8.4	8.3	9.8	12.0	14.0	12.6	12.1	12.8	13.9	15.1	15.3	15.5	0%	5%	
Powertrain	5.4	6.8	7.4	8.0	7.5	7.4	11.3	16.0	20.4	19.5	19.0	20.2	22.5	24.2	26.1	28.1	3%	8%	
Safety	4.4	4.3	4.6	4.7	4.1	4.1	4.8	5.9	6.8	5.8	5.5	5.7	6.0	6.2	6.3	6.4	-3%	3%	
Total	30.1	34.1	38.5	42.2	40.5	39.4	53.3	67.5	80.0	74.1	70.0	77.0	87.8	97.8	103.2	107.7	2%	9%	
% y-o-y		13.3%	13.1%	9.5%	-4.0%	-2.7%	35.3%	26.6%	18.5%	-7.3%	-5.5%	10.0%	14.0%	11.4%	5.5%	4.4%			
Inventory adjustment (- restocking and + de-stocking)					-1	-5	-5	-5	-10	-1	7	5	2	0	0	0			
Autos production(m)	88.8	93.1	95.3	94.2	88.7	74.6	77.2	82.3	90.5	89.6	92.8	94.0	95.4	96.8	98.4	99.3			
% y-o-y		4.9%	2.3%	-1.2%	-5.8%	-15.9%	3.5%	6.7%	9.9%	-1.0%	3.6%	1.3%	1.4%	1.0%	1.0%	1.0%			

Source: Gartner, UBS estimates

Figure 7: The analog semis within our coverage are trading on a -17% discount to semis cap, vs. a -2% discount a year ago

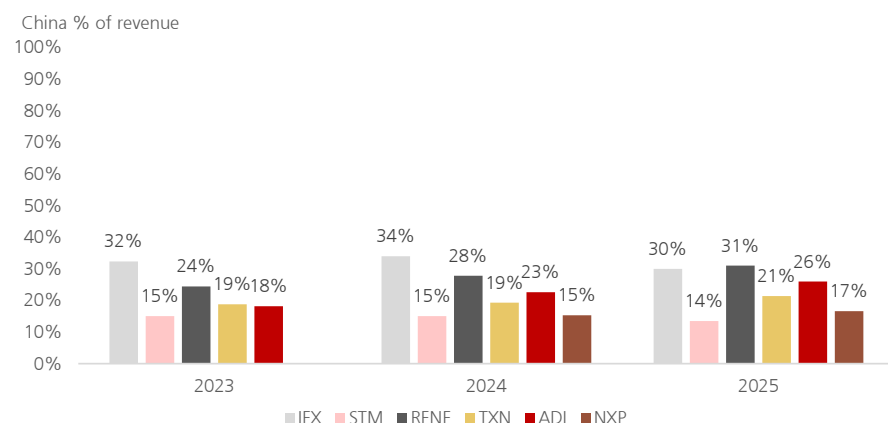


Source: UBS, Datastream. This chart includes global companies in analog and semis cap.

China growth has been supportive through 2025, but we see some risks in 2026

We have broken out our auto semis model by region, and estimate that China auto semis revenues grew 7% y-o-y in 2025, consistent with commentary of relative strength through the year from our coverage. Looking into 2026, we expect China to grow 5%, with outperformance from non-China up 8% y-o-y. Importantly this 5% does not take into account any potential inventory correction which could drive growth lower. When accounting for potential share loss to domestic semis players, we think global incumbents' auto semis revenues in China are set to be flat in 2026, while we estimate non-China revenues will be up 8% y-o-y, not taking into account any impact from inventory build/correction.

Figure 8: China % of revenue for main analog players



Source: Company data, UBS; TXN and NXP is revenue from China HQ companies

Figure 9: China growth y-o-y by companies shows significant difference

YoY%	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
IFX		17%	55%	14%	1%	17%	37%	10%	4%	-4%	14%
RENE		1%	41%	3%	-1%	14%	33%	54%	-21%	-3%	10%
TXN		3%	10%	6%	3%	-38%	3%	5%	-31%	-9%	26%
ADI		13%	46%	44%	9%	2%	20%	59%	-13%	-5%	34%
NXP		24%	-6%	20%	-7%	27%	-18%	12%	-7%	4%	6%
Total		11%	15%	13%	0%	-5%	8%	19%	-13%	-3%	18%

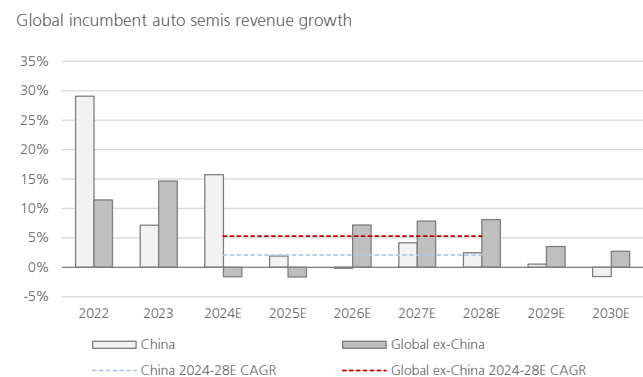
Source: Company data, UBS

Figure 10: China grew c7% y-o-y in 2025 but is set to grow more in line with the market going forward



Source: Gartner, UBS estimates

Figure 11: When accounting for share loss, we estimate incumbents' revenue growth should be stronger outside China 2025-29E



Source: Gartner, UBS estimates

Figure 12: We model auto semis revenues by region

Sales (\$m) by region	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Europe	11,838	12,368	14,838	15,527	15,414	16,936	18,537	20,209	21,005	21,798
US	9,917	10,782	12,396	12,883	12,593	12,990	13,723	14,693	15,180	15,641
China	14,735	19,020	20,382	24,687	26,388	27,698	30,408	32,946	35,130	36,815
Japan	2,994	3,152	3,563	3,300	3,366	3,700	3,938	4,197	4,280	4,377
ROW	15,210	18,314	20,315	18,639	18,345	19,915	21,803	23,858	24,991	25,677
Total	54,693	63,636	71,494	75,036	76,106	81,240	88,407	95,904	100,585	104,307
yoy		16%	12%	5%	1%	7%	9%	8%	5%	4%
y-o-y										
China		29%	7%	21%	7%	5%	10%	8%	7%	5%
Global ex-China		12%	15%	-1%	-1%	8%	8%	9%	4%	3%
China 2025-29E CAGR					7%	7%	7%	7%	7%	
Global ex-China 2025-29E CAGR					7%	7%	7%	7%	7%	
Global incumbent market share	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Europe	95%	95%	95%	95%	94%	94%	93%	93%	92%	92%
US	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
China	90%	90%	90%	86%	82%	78%	74%	70%	66%	62%
Japan	90%	90%	90%	90%	90%	90%	90%	90%	90%	90%
ROW	90%	90%	90%	90%	89%	89%	88%	88%	87%	87%
Average	93%	93%	93%	91%	89%	88%	86%	85%	83%	81%
Global incumbent revenue (\$m)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Europe	11,246	11,749	14,096	14,673	14,489	15,835	17,239	18,693	19,324	19,945
US	9,917	10,782	12,396	12,883	12,593	12,990	13,723	14,693	15,180	15,641
China	13,262	17,118	18,344	21,231	21,638	21,605	22,502	23,062	23,186	22,825
Japan	2,694	2,837	3,207	2,970	3,030	3,330	3,544	3,778	3,852	3,939
ROW	13,689	16,482	18,283	16,682	16,327	17,625	19,186	20,876	21,742	22,210
Total	50,808	58,969	66,326	68,439	68,077	71,386	76,194	81,102	83,284	84,560
yoy		16%	12%	3%	-1%	5%	7%	6%	3%	2%
y-o-y	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Europe		4%	20%	4%	-1%	9%	9%	8%	3%	3%
US		9%	15%	4%	-2%	3%	6%	7%	3%	3%
China		29%	7%	16%	2%	0%	4%	2%	1%	-2%
Japan		5%	13%	-7%	2%	10%	6%	7%	2%	2%
ROW		20%	11%	-9%	-2%	8%	9%	9%	4%	2%
China		29%	7%	16%	2%	0%	4%	2%	1%	-2%
Global ex-China		11%	15%	-2%	-2%	7%	8%	8%	4%	3%
China 2025-29E CAGR					2%	2%	2%	2%	2%	
Global ex-China 2025-29E CAGR					5%	5%	5%	5%	5%	
% of revenues	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Europe	22%	20%	21%	21%	21%	22%	23%	23%	23%	24%
US	20%	18%	19%	19%	18%	18%	18%	18%	18%	18%
China	26%	29%	28%	31%	32%	30%	30%	28%	28%	27%
Japan	5%	5%	5%	4%	4%	5%	5%	5%	5%	5%
ROW	27%	28%	28%	24%	24%	25%	25%	26%	26%	26%

Source: UBS estimates, Gartner

Figure 13: UBS China autos risk score using 2025 data

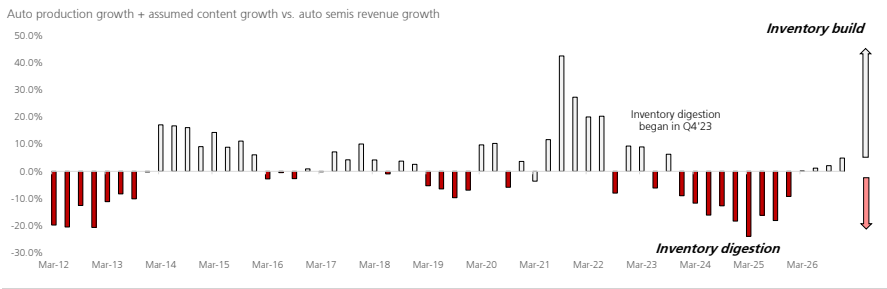
	Auto % of sales	Domestic China	Risk factor	2023 Risk factor	Comment
NXP	58%	17%	15%	15%	NXP exposure to high end MCU should continue to offer some protection
Rohm	52%	15%	14%	12%	Strong exposure to discrete power similar to Infineon and ON
Renesas	49%	14%	13%	12%	Similar to NXP, high end MCU exposure could offer some protection
Infineon	50%	13%	13%	13%	Power discrete exposure puts IFX at high risk but MCU could help to offset this
ONSem	51%	12%	13%	13%	Leader in power discrete with strong exposure to SiC
Texas Instruments	33%	21%	13%	12%	Broadly diversified portfolio and cost advantage from 300mm manufacturing
STMicro	40%	14%	11%	13%	General purpose MCU and power discrete exposure is higher risk
Analog Devices	30%	12%	9%	7%	Broad portfolio but some areas such as BMS at risk
Microchip	16%	17%	8%	8%	High general purpose MCU exposure but low auto

Source: Company data, UBS; Risk Factor = (1/3 auto exposure x 2/3 domestic China exposure)

Leading indicator analysis

We do a deep dive into different leading indicators.

Figure 14: When accounting for content growth, we estimate inventory digestion started in Q4'23 and we expect an improving trend through the year

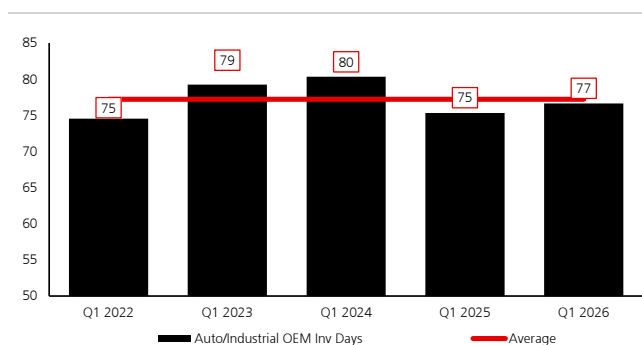


Source: UBS estimates, company data, VA consensus; assumed content growth of 8% y-o-y annually

Strong outlook into 2026

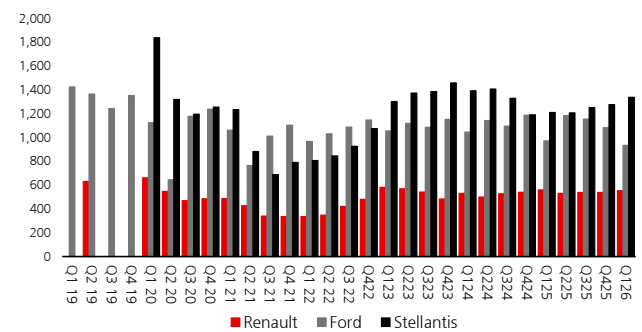
1) Inventories are now showing normalisation at distributors and at OEMs

Figure 15: Auto/industrial OEM inventory days stabilizing



Source: UBS, company data

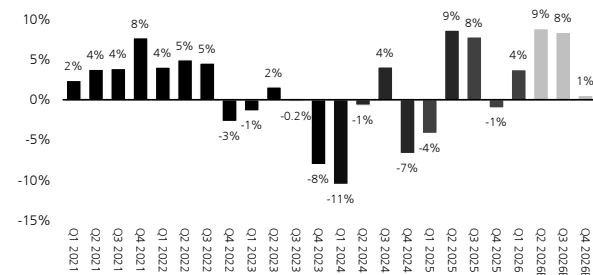
Figure 16: Total inventories '000 units: inventories were up 3% during 1Q26 vs 1Q25 levels. This is back to a relatively high level for Stellantis for example



Source: Company data, UBS estimates

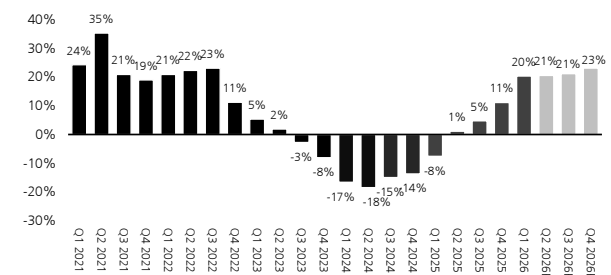
2) Semis outlook suggests positive momentum ahead

Figure 17: We expect next quarter to grow by 9% q-o-q after an increase of 4% in Q1'26...



Source: UBS estimates, company data. Note: data includes TI, ON, ADI, IFX, STM, Microchip, Melexis, NXP, Renesas

Figure 18: ...Q2'26E likely to deliver 21% y-o-y growth after 20% in Q1'26



Source: UBS estimates, company data. Note: data includes TI, ON, ADI, IFX, STM, Microchip, Melexis, NXP, Renesas

Figure 19: Automotive revenue growth y-o-y by company

YoY Automotive Growth % *	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Texas Instruments	18%	17%	-4%	-9%	40%	17%	21%	-7%	1%	10%	12%
Analog Devices	9%	3%	-10%	2%	35%	32%	14%	-6%	20%	12%	11%
ON	10%	11%	-2%	-7%	36%	46%	29%	-10%	-23%	7%	18%
Infineon	14%	15%	-2%	14%	35%	23%	22%	-7%	1%	9%	7%
Melexis	14%	19%	-18%	3%	32%	16%	19%	-4%	-7%	8%	15%
NXP	16%	6%	-7%	-9%	44%	25%	9%	-4%	0%	14%	16%
Renesas	28%	-2%	-6%	-6%	32%	17%	0%	-6%	-8%	4%	5%
STM	9%	16%	1%	-9%	32%	37%	32%	-14%	-24%	9%	9%
Total	14.7%	10.6%	-5.8%	-2.7%	35.7%	26.7%	18.2%	-7.3%	-5.1%	9.2%	11.7%

Source: UBSe, Company data, *historicals restated for TI segment reclassification

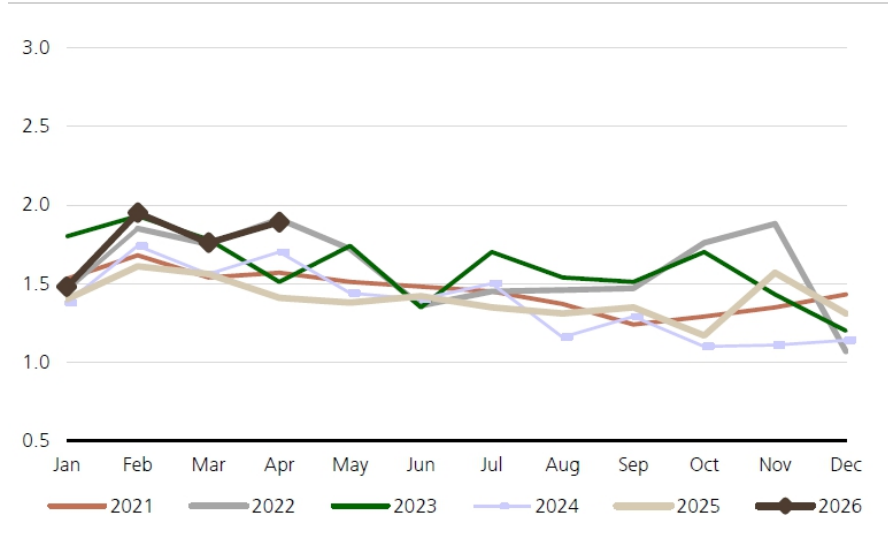
Figure 20: Automotive revenue growth y-o-y by company by quarter

YoY Automotive Growth % *	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026E	Q3 2026E	Q4 2026E
Texas Instruments	-3%	-10%	-7%	-8%	-5%	-2%	3%	9%	6%	10%	10%	16%
Analog Devices	-13%	-9%	-2%	-1%	29%	27%	19%	8%	3%	11%	13%	22%
ON	3%	-15%	-18%	-8%	-25%	-19%	-17%	-22%	5%	10%	6%	5%
Infineon	1%	-2%	0%	0%	-6%	2%	4%	4%	10%	6%	11%	9%
Melexis	6%	0%	2%	-23%	-22%	-10%	-10%	17%	15%	6%	6%	8%
NXP	-1%	-7%	-3%	-6%	-7%	0%	0%	5%	6%	13%	16%	19%
Renesas	-6%	-1%	2%	-20%	-15%	-8%	-13%	9%	7%	1%	4%	6%
STM	-2%	-10%	-24%	-19%	-38%	-25%	-17%	-16%	16%	14%	8%	0%
Total	-3.6%	-8.8%	-9.2%	-9.4%	-12.3%	-4.8%	-3.4%	-0.1%	7.8%	9.0%	10.3%	11.3%

Source: UBSe, Company data, *historicals restated for TI segment reclassification

3) Autos demand still uncertain

Figure 21: China's PV inventory changes (monthly)



Source: China Automobile Dealers Association (CADA)

Figure 22: UBS global auto sales estimates

Sales, m units	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	Q125	Q225	Q325	Q425	2025	2026E	2027E	2028E	2029E
Western Europe	16.1	17.2	17.8	17.9	18.1	13.8	13.9	13.0	14.8	15.1	3.9	3.9	3.6	3.8	15.2	15.6	15.8	16.0	16.2
% growth	17.8%	7.2%	3.2%	0.5%	1.3%	-23.6%	0.2%	-6.2%	14.0%	1.6%	-1.9%	-3.1%	6.8%	2.3%	0.7%	2.3%	1.6%	1.5%	1.0%
of which: Germany	3.5	3.6	3.7	3.7	3.9	3.2	2.9	2.9	3.1	3.1	0.7	0.8	0.8	0.8	3.1	3.2	3.3	3.3	3.4
% growth	5.5%	4.8%	2.5%	0.6%	5.1%	-18.6%	-9.3%	-0.3%	7.7%	-0.2%	-5.0%	-6.3%	10.3%	6.1%	0.9%	2.5%	2.0%	1.5%	1.0%
of which: France	2.3	2.4	2.5	2.6	2.7	2.1	2.1	1.9	2.2	2.1	0.5	0.5	0.4	0.5	2.0	2.0	2.1	2.1	2.1
% growth	5.9%	5.6%	4.3%	4.1%	2.3%	-23.9%	1.9%	-10.2%	14.7%	-2.5%	-8.3%	-8.7%	-1.0%	-0.8%	-5.0%	2.0%	1.5%	1.5%	1.0%
of which: Italy	1.7	2.0	2.2	2.1	2.1	1.5	1.6	1.5	1.8	1.8	0.5	0.5	0.4	0.4	1.7	1.8	1.8	1.8	1.8
% growth	15.6%	19.8%	6.2%	-4.0%	0.8%	-26.6%	6.6%	-10.1%	19.3%	-0.3%	-3.1%	-5.9%	0.2%	0.9%	-2.3%	2.0%	1.5%	1.5%	1.0%
of which: Spain	1.2	1.3	1.4	1.5	1.5	1.0	1.0	0.9	1.1	1.2	0.3	0.4	0.3	0.3	1.3	1.4	1.5	1.5	1.5
% growth	22.7%	11.0%	8.5%	7.1%	-4.0%	-31.5%	0.1%	-7.7%	17.5%	7.9%	14.0%	13.3%	17.1%	8.1%	12.9%	7.0%	1.5%	1.5%	1.0%
of which: UK	3.0	3.1	2.9	2.7	2.7	1.9	2.0	1.9	2.3	2.3	0.7	0.5	0.6	0.5	2.4	2.4	2.4	2.5	2.5
% growth	7.4%	2.0%	-5.2%	-6.3%	-1.8%	-28.1%	4.1%	-5.3%	18.4%	2.8%	4.0%	-2.2%	4.0%	-0.2%	1.6%	2.0%	1.5%	1.5%	1.0%
RoWE	4.4	4.7	5.0	5.1	5.2	4.1	4.2	3.9	4.4	4.6	1.1	1.2	1.1	1.2	4.6	4.7	4.8	4.9	4.9
% growth	49.6%	7.6%	5.8%	2.6%	1.5%	-21.3%	2.4%	-6.9%	13.2%	3.6%	-3.4%	-2.1%	9.1%	1.2%	0.9%	2.0%	1.5%	1.5%	1.0%
Eastern Europe	2.8	2.6	2.8	2.7	2.5	2.9	2.9	2.0	3.1	3.6	0.7	0.8	0.9	1.1	3.5	3.6	3.6	3.7	3.8
% growth	-39.3%	-7.6%	6.9%	-3.7%	-5.6%	14.3%	-0.1%	-31.5%	55.7%	17.0%	-12.9%	-5.8%	-1.2%	7.4%	-2.4%	2.0%	1.0%	2.0%	2.0%
of which: Russia	1.6	1.4	1.6	1.8	1.8	1.6	1.7	0.7	1.1	1.6	0.3	0.3	0.4	0.4	1.4	1.4	1.4	1.4	1.4
% growth	-35.6%	-11.2%	11.6%	13.1%	-2.5%	-8.7%	4.5%	-57.9%	59.5%	46.0%	-24.6%	-26.6%	-17.9%	0.6%	-16.5%	0.0%	0.0%	2.0%	2.0%
Europe	18.9	19.8	20.6	20.6	20.6	16.7	16.8	15.0	17.9	18.7	4.5	4.7	4.5	4.9	18.7	19.2	19.4	19.8	20.0
% growth	3.3%	5.0%	3.7%	-0.1%	0.4%	-18.9%	0.1%	-10.6%	19.5%	4.3%	-3.7%	-3.6%	5.1%	3.4%	0.1%	2.4%	1.5%	1.6%	1.2%
North America	20.7	21.1	20.8	20.7	20.3	17.1	17.7	16.5	18.7	19.5	4.8	5.2	5.0	4.9	19.9	19.3	19.1	19.1	19.2
% growth	6.4%	1.7%	-1.5%	-0.2%	-2.0%	-15.8%	3.8%	-7.0%	13.2%	4.2%	4.9%	3.3%	5.3%	-4.3%	2.2%	2.9%	-1.0%	0.0%	0.5%
of which: USA	17.5	17.6	17.2	17.3	17.1	14.6	15.1	13.9	15.6	16.0	3.9	4.2	4.1	4.1	16.4	16.0	15.8	15.8	15.8
% growth	5.8%	0.4%	-2.1%	0.8%	-1.3%	-14.6%	3.3%	-7.9%	12.4%	2.8%	4.6%	2.7%	5.9%	-3.7%	2.2%	-2.4%	-1.3%	0.0%	0.0%
South America	4.4	3.9	4.4	4.7	4.5	3.2	3.8	3.9	4.0	4.2	1.0	1.1	1.2	1.3	4.6	4.8	4.9	5.1	5.3
% growth	-18.5%	-10.9%	12.7%	6.5%	-3.6%	-28.8%	16.9%	2.2%	3.1%	5.5%	15.7%	11.5%	7.4%	8.3%	10.3%	4.0%	3.0%	3.0%	3.0%
of which: Brazil	2.5	2.0	2.2	2.5	2.7	2.0	2.0	2.0	2.2	2.5	0.5	0.6	0.7	0.7	2.5	2.7	2.7	2.8	2.9
% growth	-25.6%	-19.9%	9.7%	13.0%	8.2%	-26.6%	1.2%	-1.0%	11.4%	14.0%	7.0%	3.2%	0.1%	0.6%	2.3%	4.0%	3.0%	3.0%	3.0%
Asia	38.0	41.3	42.6	42.1	39.0	35.9	37.0	38.3	40.5	40.5	10.0	10.1	10.5	11.9	42.4	42.5	43.6	44.7	45.8
% growth	3.1%	8.7%	3.0%	-1.0%	-7.3%	-8.1%	3.0%	3.6%	5.7%	0.0%	9.6%	7.6%	7.0%	-2.8%	4.8%	0.3%	2.6%	2.4%	2.4%
of which: Japan	4.9	4.8	5.1	5.2	5.1	4.5	4.4	4.2	4.7	4.3	1.3	1.0	1.1	1.1	4.5	4.6	4.6	4.5	4.5
% growth	-9.6%	-2.0%	5.9%	0.5%	-1.3%	-11.5%	-3.3%	-3.7%	12.0%	-7.9%	14.0%	6.9%	-4.5%	-2.0%	3.4%	3.2%	-1.0%	-1.0%	-1.0%
of which: China	24.4	27.6	28.0	27.0	24.7	23.7	23.9	24.1	25.5	25.9	6.1	6.5	6.8	7.9	27.3	26.8	27.3	27.8	28.4
% growth	5.8%	12.8%	1.6%	-3.5%	-8.6%	-4.2%	1.0%	0.9%	5.6%	1.8%	11.9%	10.4%	11.6%	-6.7%	5.4%	-2.0%	2.0%	2.0%	2.0%
of which: India	3.2	3.4	3.7	4.0	3.5	2.8	3.5	4.4	4.7	4.9	1.3	1.2	1.2	1.4	5.2	5.4	5.7	6.1	6.5
% growth	7.0%	8.2%	9.1%	7.3%	-11.6%	-20.6%	26.5%	23.7%	7.4%	4.1%	3.7%	-0.1%	-0.2%	17.8%	5.4%	5.0%	6.0%	6.0%	6.0%
of which: South Korea	1.8	1.8	1.8	1.8	1.7	1.8	1.7	1.6	1.7	1.6	0.4	0.4	0.4	0.4	1.6	1.7	1.7	1.7	1.7
% growth	11.4%	-1.0%	-1.6%	1.4%	-3.3%	6.9%	-8.7%	-2.4%	3.3%	-6.5%	2.2%	4.9%	11.6%	-4.6%	3.3%	2.0%	1.0%	1.0%	1.0%
of which: ASEAN	3.0	3.0	3.2	3.4	3.3	2.5	2.8	3.3	3.3	3.1	0.8	0.7	0.8	0.9	3.2	3.4	3.6	3.8	4.0
% growth	-4.9%	2.4%	5.8%	5.5%	-1.6%	-26.2%	12.0%	21.0%	-1.1%	-5.5%	3.1%	2.2%	-2.1%	3.9%	1.8%	7.0%	7.0%	5.0%	4.0%
Other	0.7	0.7	0.7	0.8	0.6	0.6	0.7	0.6	0.6	0.6	0.1	0.2	0.1	0.2	0.6	0.6	0.7	0.7	0.7
% growth	13.0%	-3.3%	7.4%	7.6%	-16.5%	-8.0%	19.0%	-12.8%	-4.2%	3.7%	-3.0%	-4.9%	2.4%	12.9%	1.8%	3.0%	3.0%	3.0%	3.0%
ROW	6.2	6.1	6.2	5.6	4.9	4.2	5.0	5.4	5.7	5.9	1.6	1.4	1.5	1.6	6.1	6.3	6.5	6.7	6.9
% growth	-3.2%	-2.3%	1.9%	-10.0%	-11.4%	-14.0%	18.6%	6.3%	6.0%	4.0%	10.3%	1.1%	3.9%	1.0%	4.0%	3.0%	3.0%	3.0%	3.0%
Total	88.2	92.2	94.5	93.7	89.5	77.2	80.3	79.0	86.7	88.7	21.9	22.5	22.7	24.6	91.7	92.1	93.6	95.3	97.1
% growth	2.0%	4.5%	2.5%	-0.9%	-4.5%	-13.7%	4.0%	-1.6%	9.8%	2.3%	5.8%	3.8%	6.1%	-1.1%	3.4%	0.4%	1.6%	1.8%	1.8%

Source: UBS estimates

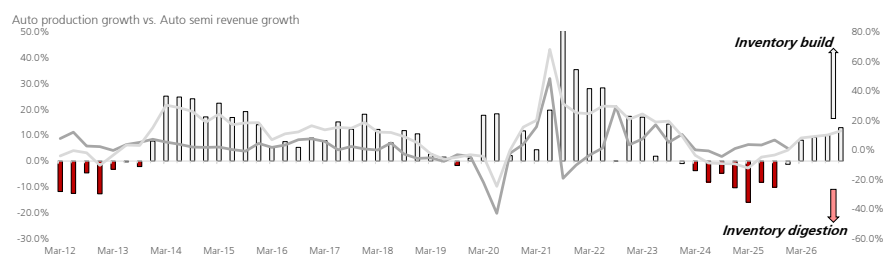
Figure 23: UBS global auto production estimates

(Production, m units)	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E
Western Europe	18.8	19.0	18.6	17.7	13.6	12.8	13.5	15.3	14.4	14.1	13.9	13.7	13.5	13.3
% growth	11.2%	20.1%	15.8%	-4.7%	-23.1%	-5.7%	5.5%	13.1%	-6.1%	-1.7%	-1.5%	-1.5%	-1.5%	-1.5%
Eastern Europe	2.8	3.3	3.4	3.4	3.0	3.1	2.3	2.7	2.8	2.9	2.9	2.9	2.9	3.0
% growth	-15.8%	-4.7%	-1.7%	-0.7%	-12.0%	2.7%	-24.9%	16.0%	5.6%	1.5%	1.0%	1.0%	1.0%	1.0%
Europe	21.5	22.3	22.0	21.1	16.6	15.9	15.8	18.0	17.2	17.0	16.8	16.6	16.4	16.3
% growth	2.8%	3.7%	-1.6%	-4.1%	-21%	-4%	0%	14%	-4%	-1.2%	-1.1%	-1.1%	-1.1%	-1.1%
North America	17.8	17.1	17.0	16.3	13.0	13.0	14.3	15.7	15.4	15.3	15.2	15.3	15.5	15.8
% growth	2.0%	-3.9%	-1.0%	-4.0%	-20.0%	0.2%	9.6%	9.7%	-1.5%	-1.0%	-0.7%	0.7%	1.3%	1.9%
South America	2.7	3.3	3.4	3.3	2.2	2.6	2.8	2.9	3.0	3.1	3.1	3.1	3.1	3.1
% growth	-11.5%	20.3%	4.1%	-4.4%	-31.5%	16.1%	8.3%	3.1%	1.7%	5.0%	1.0%	0.0%	0.0%	0.0%
of which: Brazil	2.1	2.6	2.8	2.8	1.9	2.1	2.2	2.2	2.4	2.5	2.5	2.5	2.5	2.5
% growth	-11.1%	26.1%	5.2%	0.9%	-32.1%	8.8%	5.1%	1.2%	8.0%	5.0%	1.0%	0.0%	0.0%	0.0%
Asia	48.7	50.0	49.2	46.1	41.0	43.6	47.2	51.6	51.7	55.2	56.9	58.4	59.9	61.4
% growth	7.6%	2.6%	-1.4%	-6.4%	-11.1%	6.4%	8.1%	9.5%	0.1%	6.9%	3.0%	2.7%	2.6%	2.5%
of which: Japan	8.8	9.2	9.2	9.2	7.8	7.5	7.4	8.6	7.9	8.1	8.2	8.2	8.1	8.1
% growth	-5.7%	5.2%	0.3%	-0.3%	-15.8%	-3.8%	-0.4%	16.1%	-8.4%	2.7%	1.6%	-0.6%	-0.6%	-0.6%
of which: China	27.1	27.6	26.6	24.3	23.3	24.6	26.2	28.8	29.8	32.9	33.9	35.0	36.0	37.1
% growth	14.3%	2.1%	-3.7%	-8.5%	-4.1%	5.3%	6.4%	10.0%	3.7%	10.5%	3.0%	3.0%	3.0%	3.0%
of which: South Korea	4.2	4.2	4.0	3.9	3.5	3.4	3.7	4.2	4.1	4.1	4.1	4.1	4.1	4.1
% growth	-7.2%	0.1%	-4.7%	-1.9%	-11.1%	-1.1%	8.5%	12.7%	-2.4%	-0.6%	0.5%	0.5%	1.0%	0.0%
of which: India	4.2	4.4	4.7	4.2	3.3	4.2	5.1	5.4	5.7	5.9	6.2	6.4	6.7	6.9
% growth	9.7%	6.0%	6.7%	-11.0%	-22.6%	27.7%	23.1%	6.5%	3.8%	5.0%	4.0%	4.0%	4.0%	4.0%
of which: ASEAN	3.9	3.9	4.2	4.0	2.8	3.5	4.4	4.2	3.8	3.8	4.1	4.4	4.6	4.8
% growth	3.0%	0.3%	7.7%	-3.9%	-30.5%	24.4%	25.4%	-3.1%	-10.3%	-1.0%	8.0%	7.0%	5.0%	5.0%
Other	0.7	0.6	0.5	0.4	0.4	0.5	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4
% growth	180.8%	-5.5%	-19.3%	-15.7%	-17.5%	39.5%	-24.7%	-1.6%	8.4%	3.0%	-3.0%	-3.0%	-3.0%	-3.0%
ROW	2.3	2.6	2.6	2.0	1.8	2.1	2.2	2.3	2.3	2.2	2.0	1.9	1.8	1.7
% growth	15.7%	12.2%	0.3%	-22.3%	-12.0%	16.5%	9.1%	2.7%	2.0%	-5.0%	-10.0%	-5.0%	-5.0%	-5.0%
Total	93.1	95.3	94.2	88.7	74.6	77.2	82.3	90.5	89.6	92.8	94.0	95.4	96.8	98.4
% growth	4.9%	2.3%	-1.2%	-5.8%	-15.9%	3.5%	6.7%	9.9%	-1.0%	3.6%	1.3%	1.4%	1.5%	1.6%

Source: UBS estimates

To assess where we are in the inventory digestion cycle, we show below y-o-y auto production growth vs. y-o-y auto semi revenue growth. When production growth is outpacing auto semi growth, we can see this as an indicator that the sector is going through an inventory digestion. Based on this metric, we estimate the sector entered a period of inventory digestion in Q3'23, which likely troughed in Q1'25, and is easing through the year.

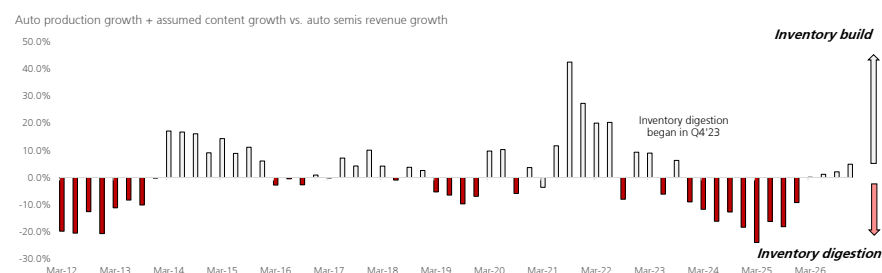
Figure 24: Auto production growth outpaced auto semis revenue growth in Q1'24, marking the start of an inventory digestion



Source: UBS estimates, company data, VA consensus

One limitation with the above is it does not account for semi content growth, which we estimate adds around 8% annually to auto semis revenue. When accounting for this, we can infer that the sector is going through an inventory digestion when auto semis revenue is growing over 8% less than auto production growth, which we show in the chart below. When making this adjustment, we estimate the sector has been in a period of inventory digestion from Q4'23 which will continue but improve through the year.

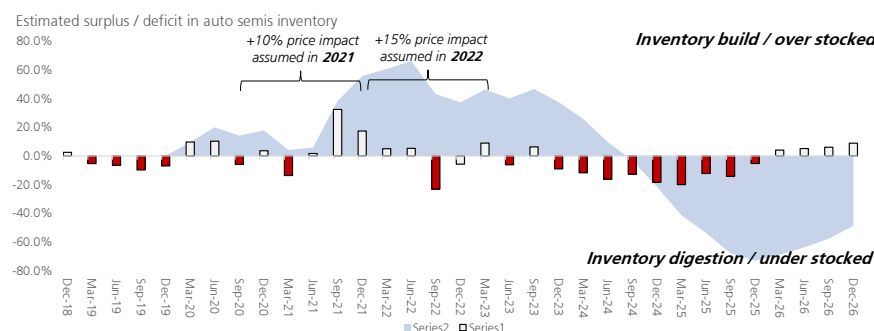
Figure 25: When accounting for content growth, we believe inventory digestion started in Q4'23, and eased into H2'25



Source: UBS estimates, company data, VA consensus; assumed content growth of 8% y-o-y annually

Below we attempt to contextualise what this means for inventory levels and how far along the inventory correction the industry is. We make a pricing adjustment of 10% in 2021 and 15% in 2022, as this, along with content growth, is outperformance that would not have contributed to any inventory build. We then create an inventory index, taking the end of 2019 to be a "normalised" inventory level, given the auto industry was towards the end of a downcycle. Each quarter we add the adjusted out/underperformance of auto semis vs. production to the previous quarter's value, e.g. the index starts at 0 in Q4'19, rises to 0.1 in Q1'20 following c10% outperformance in the quarter and then to 0.21 in Q2'20, following another 10% outperformance. Based on this index, the industry is already at healthier inventory levels.

Figure 26: When accounting for content growth and exceptional pricing through 2021-22, inventories appear to be reaching healthier levels



Source: UBS estimates, company data, VA consensus

Figure 27: Industrial revenue growth now expected to be c25% in 2026E vs 16% previously

YoY industrial Growth %*	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
TXN	0%	15%	9%	-8%	4%	39%	8%	-13%	-22%	14%	35%	20%
ADI	5%	22%	10%	-6%	10%	29%	31%	-8%	-30%	27%	48%	16%
ON	-2%	3%	11%	-10%	-5%	33%	27%	-1%	-21%	-7%	6%	7%
IFX	2%	12%	15%	-4%	14%	21%	8%	0%	-7%	15%	31%	21%
STM	-2%	16%	11%	-10%	15%	24%	35%	11%	-49%	-6%	30%	21%
MELE	11%	17%	-7%	-26%	50%	22%	7%	13%	4%	8%	8%	15%
NXP	-35%	17%	6%	-12%	15%	31%	13%	-13%	-3%	0%	27%	12%
RENE	-5%	-4%	-3%	-9%	22%	37%	38%	-15%	-23%	8%	17%	13%
Average	-3.3%	12.3%	6.2%	-10.6%	15.6%	29.6%	20.8%	-3.2%	-18.9%	7.4%	25.4%	15.6%

Source: UBSe, Company data, *historicals restated for TI segment reclassification

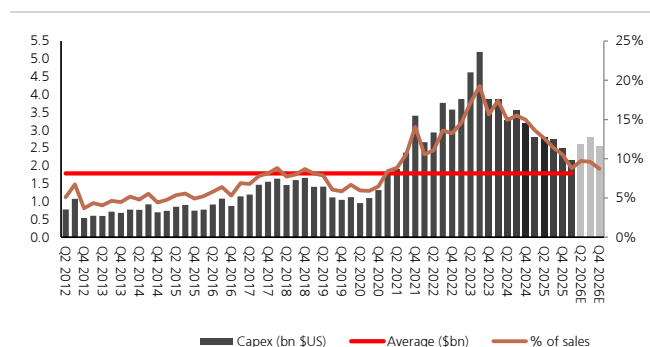
Figure 28: Industrial revenue growth y-o-y by companies by quarters

YoY industrial Growth %*	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026E	Q3 2026E	Q4 2026E
TXN	-25%	-25%	-23%	-12%	-1%	15%	22%	20%	35%	32%	32%	41%
ADI	-44%	-37%	-21%	-10%	14%	21%	33%	38%	55%	54%	44%	40%
ON	-14%	-23%	-29%	-16%	-16%	-13%	-3%	6%	4%	10%	9%	3%
IFX	-19%	-18%	-8%	-19%	-1%	11%	14%	43%	34%	30%	25%	37%
STM	-43%	-54%	-56%	-43%	-34%	-7%	18%	7%	28%	41%	39%	14%
MELE	19%	25%	-8%	-13%	-5%	-1%	11%	30%	4%	0%	-8%	39%
NXP	14%	7%	-7%	-22%	-11%	-11%	3%	24%	24%	27%	29%	28%
RENE	-19%	-25%	-23%	-25%	-13%	6%	12%	32%	27%	15%	14%	14%
Average	-16.4%	-18.8%	-21.9%	-20.1%	-8.3%	2.7%	13.7%	25.2%	26.4%	26.1%	23.0%	27.0%

Source: UBSe, Company data, *historicals restated for TI segment reclassification

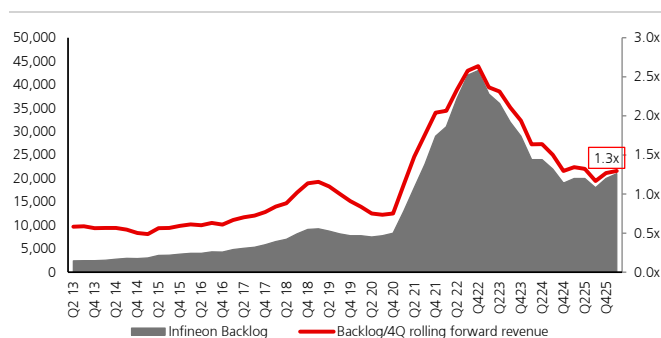
Capacity expansion slowed down in 2025 and expected to be down slightly in 2026E

Figure 29: Capex (\$bn) from analog semis is decelerating. Consensus expects -7% y-o-y in 2026E (-22% y-o-y 2025)



Source: UBS, company data; Note: data includes TI, ADI, ON, IFX, STM, Microchip, Melexis, NXP, Renesas

Figure 30: Infineon backlog/4Q rolling forward revenues - we see a normalisation in terms of backlog close to pre-Covid level



Source: UBS estimates, company data

Fundamental (i.e. content) remains supportive, mainly driven by EV transition

Figure 31: We expect EV units to grow c9% y-o-y in 2026E, after c17% growth in 2025

	2020	2021	2022	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E
Europe	1,393,744	2,331,037	2,690,005	3,153,215	3,074,476	4,075,583	4,890,700	5,771,026	6,636,679	7,300,347	8,760,417
growth y/y	136%	67%	15%	17%	-2%	33%	20%	18%	15%	10%	20%
% of LV sales	8.4%	13.9%	18.0%	17.6%	16.5%	21.8%	25.5%	29.7%	33.6%	36.5%	43.8%
% share of BEV from EV	55.9%	55.3%	62.2%	68.6%	69.1%	68.8%	65.0%	67.0%	68.0%	69.0%	70.0%
BEV sales	779,299	1,288,565	1,672,935	2,163,278	2,123,355	2,804,648	3,178,955	3,866,587	4,512,942	5,037,240	6,132,292
PHEV sales	614,445	1,042,472	1,017,070	989,937	951,121	1,270,935	1,711,745	1,904,438	2,123,737	2,263,108	2,628,125
US	320,971	616,152	983,376	1,465,968	1,632,548	1,564,823	1,120,000	1,232,400	1,422,000	1,896,000	2,528,000
growth y/y	-3%	92%	60%	49%	11%	-4%	-28%	10%	15%	33%	33%
% of LV sales	2.2%	4.1%	7.1%	9.4%	10.2%	9.5%	7.0%	7.8%	9.0%	12.0%	16.0%
% share of BEV from EV	81.1%	79.6%	82.4%	81.3%	80.5%	81.4%	78.6%	76.9%	77.8%	75.0%	75.0%
BEV sales	260,193	490,456	810,466	1,191,414	1,313,806	1,273,747	880,000	948,000	1,106,000	1,422,000	1,896,000
PHEV sales	60,778	125,696	172,910	274,554	318,742	291,076	240,000	284,400	316,000	474,000	632,000
China	1,213,823	3,170,344	6,072,308	8,059,213	11,341,035	13,398,261	14,517,073	16,621,489	18,061,107	21,129,358	23,542,442
growth y/y	14%	161%	92%	33%	41%	18%	8%	14%	9%	17%	11%
% of LV sales	5.1%	13.3%	25.2%	31.7%	43.8%	49.1%	54.2%	60.9%	64.9%	74.4%	80.1%
% share of BEV from EV	83.9%	83.2%	76.7%	67.2%	57.5%	63.1%	63.1%	65.1%	67.1%	69.1%	71.1%
BEV sales	1,017,968	2,638,241	4,655,935	5,412,710	6,519,158	8,447,911	9,153,348	10,812,660	12,110,387	14,590,307	16,727,445
PHEV sales	195,855	532,103	1,416,373	2,646,503	4,821,877	4,950,350	5,363,725	5,808,829	5,950,720	6,539,051	6,814,997
Japan	26,894	47,935	98,632	120,711	80,655	104,213	140,000	190,000	290,000	390,000	490,000
growth y/y	-28%	78%	106%	22%	-33%	29%	34%	36%	53%	34%	26%
% of LV sales	0.6%	1.0%	2.3%	2.6%	1.9%	2.3%	3.0%	4.1%	6.4%	8.7%	11.1%
% share of BEV from EV	57.9%	52.2%	61.9%	61.4%	57.7%	60.6%	64.3%	73.7%	65.5%	61.5%	59.2%
BEV sales	15,578	25,035	61,096	74,085	46,569	63,101	90,000	140,000	190,000	240,000	290,000
PHEV sales	11,316	22,900	37,536	46,626	34,086	41,112	50,000	50,000	100,000	150,000	200,000
ROW	289,568	608,532	679,679	1,382,893	1,571,286	1,557,120	1,868,544	2,242,253	2,690,703	3,094,309	3,558,455
growth y/y	13%	110%	12%	103%	14%	-1%	20%	20%	20%	15%	15%
% of LV sales	1.6%	3.0%	3.1%	6.0%	6.6%	6.3%	7.3%	8.5%	9.8%	10.9%	12.7%
% share of BEV from EV	70.0%	75.0%	80.0%	75.0%	75.0%	75.0%	70.0%	70.0%	70.0%	70.0%	70.0%
BEV sales	202,698	456,399	543,743	1,037,170	1,178,465	1,167,840	1,307,981	1,569,577	1,883,492	2,166,016	2,490,919
PHEV sales	86,870	152,133	135,936	345,723	392,822	389,280	560,563	672,676	807,211	928,293	1,067,537
Total	3,245,000	6,774,000	10,524,000	14,182,000	17,700,000	20,700,000	22,536,317	26,057,167	29,100,490	33,810,014	38,879,314
% of global LV sales	4.2%	8.4%	13.3%	16.4%	20.0%	22.6%	24.5%	27.8%	30.5%	34.8%	39.8%
y-o-y		108.8%	55.4%	34.8%	24.8%	16.9%	8.9%	15.6%	11.7%	16.2%	15.0%
BEV	2,275,736	4,898,696	7,744,175	9,878,657	11,181,353	13,757,247	14,610,283	17,336,824	19,802,821	23,455,562	27,536,656
BEV % of total LV sales	2.9%	6.1%	9.8%	11.4%	12.6%	15.0%	15.9%	18.5%	20.8%	24.2%	28.2%
y-o-y		115.3%	58.1%	27.6%	13.2%	23.0%	6.2%	18.7%	14.2%	18.4%	17.4%
PHEV	969,264	1,875,304	2,779,825	4,303,343	6,518,648	6,942,753	7,926,033	8,720,343	9,297,669	10,354,452	11,342,658
PHEV % of total LV sales	1.3%	2.3%	3.5%	5.0%	7.4%	7.6%	8.6%	9.3%	9.8%	10.7%	11.6%
y-o-y		93.5%	48.2%	54.8%	51.5%	6.5%	14.2%	10.0%	6.6%	11.4%	9.5%

Source: UBS estimates

Figure 32: We estimate 10% y-o-y auto semis revenue growth in 2026E (unchanged) and +c14% in 2027E (unchanged) based on our bottom-up estimates

	GARTNER HISTORICS					UBS ESTIMATES										
Semi sales (US\$bn)	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E
ADAS	1.7	3.0	4.1	5.1	5.9	5.4	10.4	13.9	16.1	16.7	15.3	20.3	27.0	33.8	36.6	38.8
Aftermarket	2.2	2.2	2.3	2.5	2.5	2.4	2.9	3.4	3.9	3.3	3.1	3.1	3.1	3.2	3.2	3.2
Body	4.6	5.5	6.6	7.4	6.9	6.8	8.1	9.4	10.9	9.3	8.6	8.6	8.7	8.8	8.9	9.0
Chassis	4.6	4.5	5.1	5.4	5.1	5.0	5.9	6.9	8.0	6.9	6.4	6.3	6.5	6.5	6.6	6.7
Infotainment	7.2	7.7	8.4	9.0	8.4	8.3	9.8	12.0	14.0	12.6	12.1	12.8	13.9	15.1	15.3	15.5
Powertrain	5.4	6.8	7.4	8.0	7.5	7.4	11.3	16.0	20.4	19.5	19.0	20.2	22.5	24.2	26.1	28.1
Safety	4.4	4.3	4.6	4.7	4.1	4.1	4.8	5.9	6.8	5.8	5.5	5.7	6.0	6.2	6.3	6.4
Total	30.1	34.1	38.5	42.2	40.5	39.4	53.3	67.5	80.0	74.1	70.0	77.0	87.8	97.8	103.2	107.7
% y-o-y		13.3%	13.1%	9.5%	-4.0%	-2.7%	35.3%	26.6%	18.5%	-7.3%	-5.5%	10.0%	14.0%	11.4%	5.5%	4.4%
Inventory adjustment (- restocking and + de-stocking)					-1	-5	-5	-5	-10	-1	7	5	2	0	0	0
Autos production(m)	88.8	93.1	95.3	94.2	88.7	74.6	77.2	82.3	90.5	89.6	92.8	94.0	95.4	96.8	98.4	99.3
% y-o-y		4.9%	2.3%	-1.2%	-5.8%	-15.9%	3.5%	6.7%	9.9%	-1.0%	3.6%	1.3%	1.4%	1.0%	1.0%	1.0%

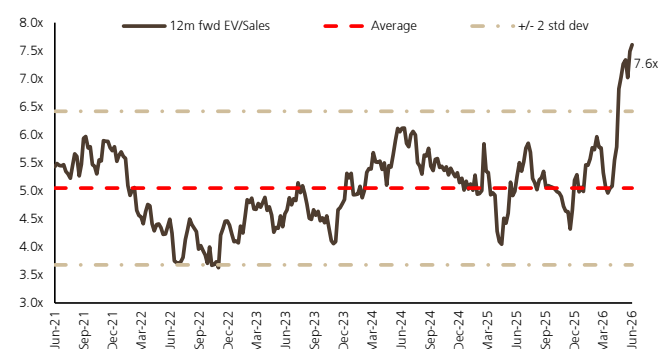
Source: Gartner, UBS estimates

Figure 33: Powertrain auto semis bottom-up model - we forecast 6% in 2026E (unchanged), with +11% (unchanged) estimated in 2027E

Powertrain / EV estimates															
Powertrain mix	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	
Gasoline	83%	81%	78%	70%	64%	57%	56%	52%	50%	48%	44%	41%	37%	32%	
Diesel	12%	12%	11%	16%	14%	13%	11%	9%	8%	7%	5%	4%	3%	2%	
48V/mild hybrid (gas)	1%	3%	6%	4%	6%	9%	9%	10%	11%	11%	11%	11%	11%	11%	
HEV	2%	3%	3%	6%	7%	8%	8%	8%	9%	10%	12%	13%	14%	15%	
PHEV	1%	1%	1%	1%	2%	4%	5%	7%	8%	9%	9%	10%	11%	12%	
BEV	1%	1%	2%	3%	6%	10%	12%	13%	15%	16%	19%	21%	24%	28%	
FCV	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	
Content mix (\$/car)	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	
Gasoline	65	65	67	68	78	86	88	85	81	78	76	74	72	69	
Diesel	75	79	75	80	92	101	103	100	95	92	89	87	84	82	
48V/mild hybrid (gas)	100	100	100	100	115	127	129	125	119	115	112	109	105	102	
HEV	225	225	225	225	259	285	290	290	276	268	260	252	244	237	
PHEV	400	400	400	400	460	506	516	501	476	461	447	434	421	408	
BEV	550	550	550	550	633	696	710	688	654	654	634	615	597	579	
FCV	550	550	550	550	633	696	710	688	654	654	634	615	597	579	
Semis market (\$m)	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	
Gasoline	5,166	4,934	4,600	3,526	4,140	4,260	4,911	4,012	3,480	3,300	3,114	2,925	2,566	2,174	
Diesel	879	855	712	967	1,051	1,131	1,091	832	637	543	457	363	266	176	
Old powertrain	6,044	5,788	5,312	4,492	5,191	5,392	6,002	4,844	4,117	3,843	3,571	3,288	2,832	2,350	
% y-o-y		-4%	-8%	-15%	16%	4%	11%	-19%	-15%	-7%	-7%	-8%	-14%	-17%	
48V/mild hybrid (gas)	91	300	513	298	596	983	1,197	1,153	1,119	1,114	1,139	1,145	1,128	1,106	
HEV	448	539	617	1,007	1,468	2,039	2,356	2,229	2,077	2,445	2,847	3,194	3,462	3,616	
PHEV	195	314	288	388	908	1,547	2,460	3,318	3,108	3,518	3,891	4,097	4,416	4,715	
BEV	402	680	810	1,231	3,172	5,955	8,288	7,910	8,468	9,193	10,967	12,370	14,179	16,227	
FCV	2	3	5	0	0	61	74	95	121	124	124	123	119	116	
EV / HEV	1,138	1,837	2,233	2,924	6,142	10,585	14,375	14,705	14,892	16,395	18,967	20,930	23,305	25,780	
% y-o-y		61%	22%	31%	110%	72%	36%	2%	1%	10%	16%	10%	11%	11%	
Total powertrain	7,183	7,625	7,544	7,417	11,333	15,977	20,377	19,549	19,009	20,238	22,538	24,217	26,137	28,130	
y-o-y		6%	-1%	-2%	53%	41%	28%	-4%	-3%	6%	11%	7%	8%	8%	

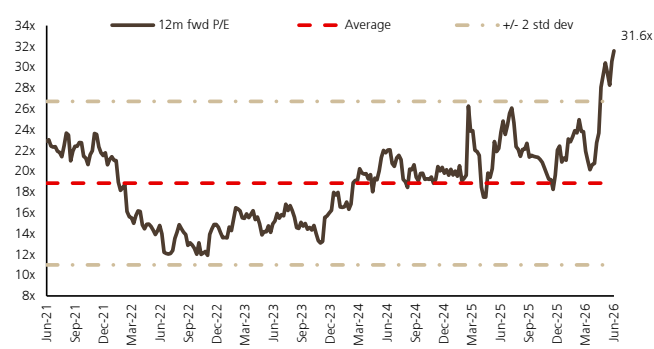
Source: UBS estimates, Company data

Figure 34: Autos/Industrial semis Forward EV/Sales



Source: UBS, Datastream

Figure 35: Autos/Industrial semis Forward P/E

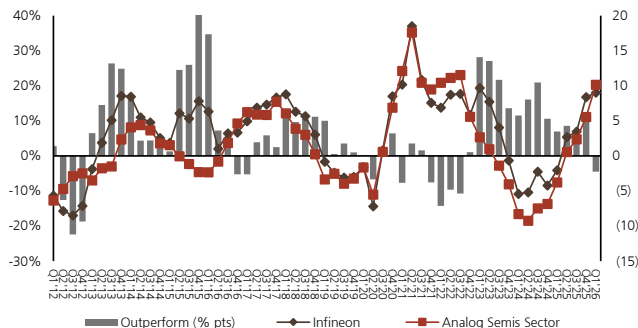


Source: UBS, Datastream

Which companies are outperforming?

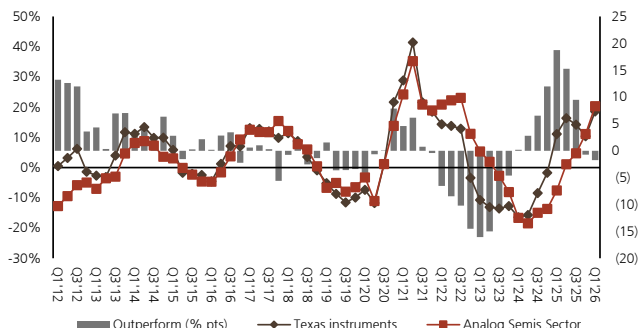
We list below the revenue growth y-o-y performance vs average for the main analog players.

Figure 36: Infineon outperformed the sector 80% of the time, on average, since 2012, driven mainly by power, in our view. 2021 underperformance was mainly driven by conservative behaviour on pricing, being reversed in 2023



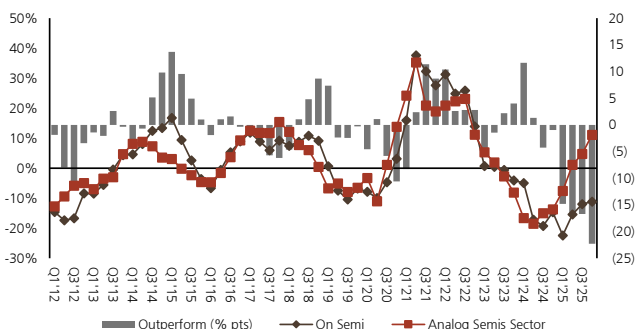
Source: UBS, Company data

Figure 37: Texas Instruments outperformed the sector 63% of the time since 2012, and we believe underperformance in 2023 was mainly due to consignment strategy and less discrete power exposure



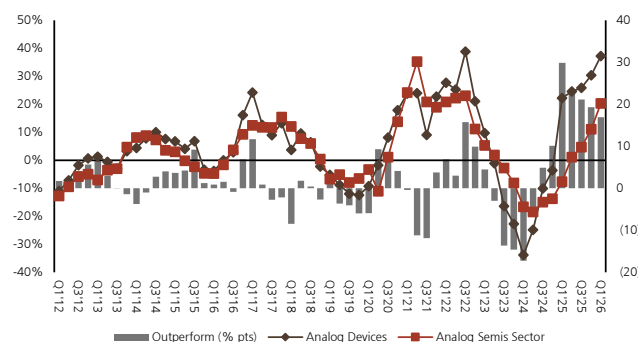
Source: UBS, Company data

Figure 38: ON Semi outperformed the sector 45% of the time since 2012 and performed better recently, driven by power content growth, in our view



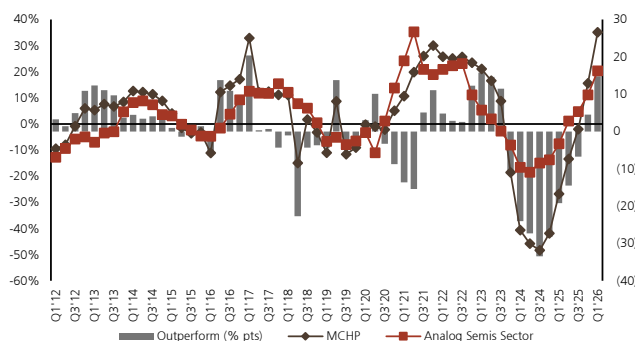
Source: UBS, Company data

Figure 39: ADI outperformed the sector 64% of the time since 2012, driven by solid content growth



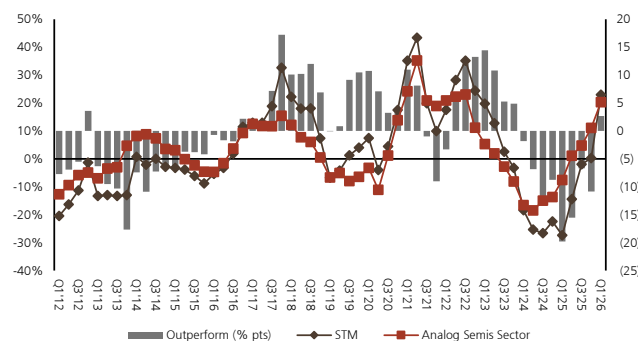
Source: UBS, Company data

Figure 40: MCHP outperformed the sector 61% of the time since 2012, and 2022 was mainly driven by MCU pricing, in our view



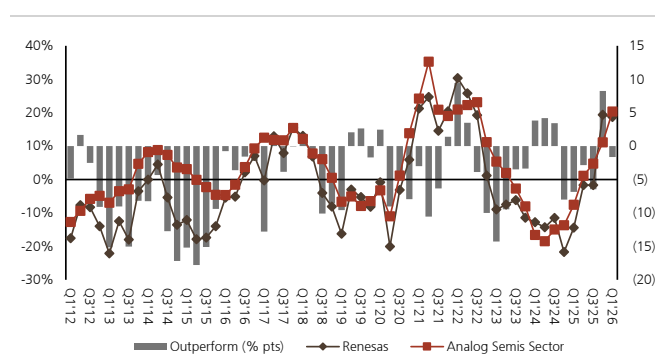
Source: UBS, Company data

Figure 41: STM outperformed the sector 48% of the time since 2012, driven by silicon carbide and stockpiling, in our view



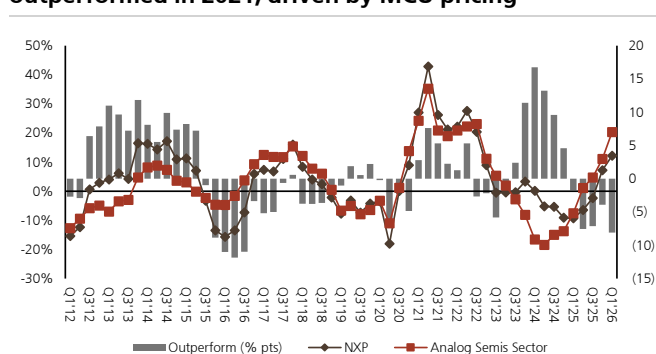
Source: UBS, Company data

Figure 42: Renesas outperformed the sector 23% of the time since 2012



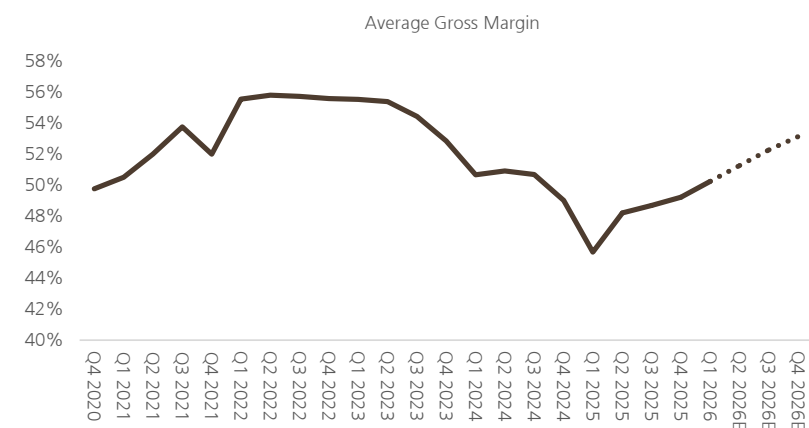
Source: UBS, Company data

Figure 43: NXP outperformed the sector 50% of the time since 2012, and we believe it underperformed before 2020 due to less discrete power exposure and outperformed in 2021, driven by MCU pricing



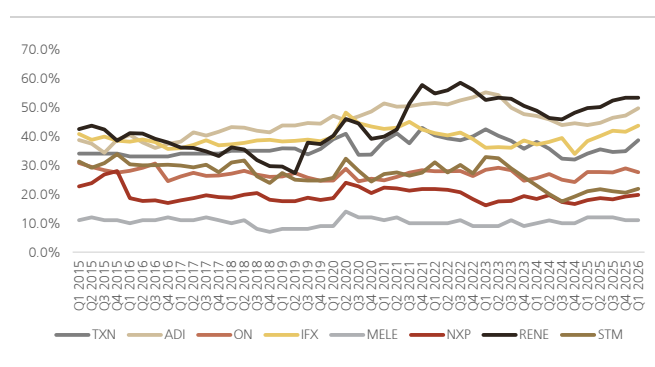
Source: UBS, Company data

Figure 44: Gross margin average across analog players rebounded in H2'25, and is expected to increase further until the end of FY26E



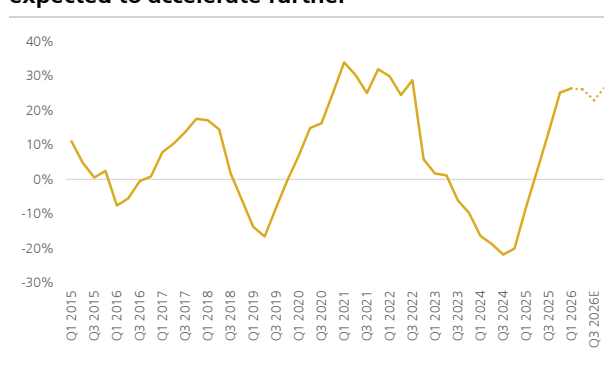
Source: UBS, Company data. Note: data includes NXP, TI, ON, ADI, IFX, STM, Renesas, Microchip, Melexis

Figure 45: Industrial as % of sales by company



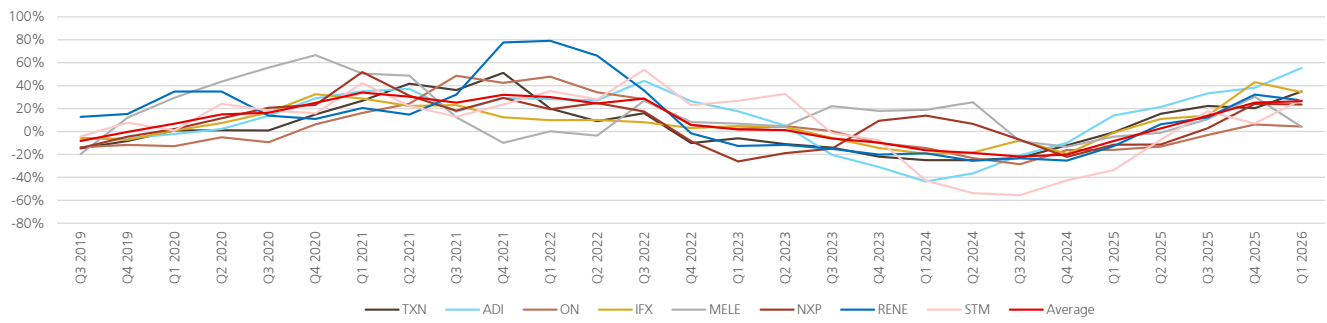
Source: UBS, company data

Figure 46: Industrial recovery took off in Q2'25 and is expected to accelerate further



Source: UBS, company data

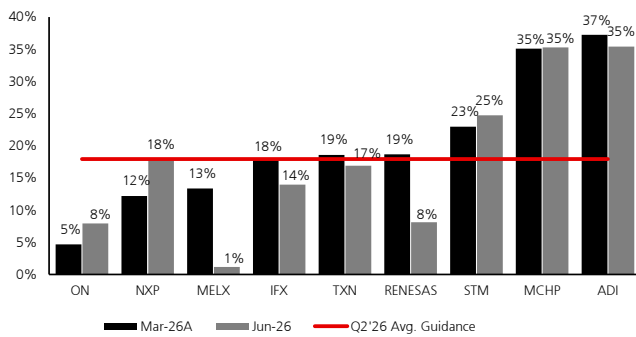
Figure 47: Industrial revenue growth y-o-y by company



Source: UBS, company data

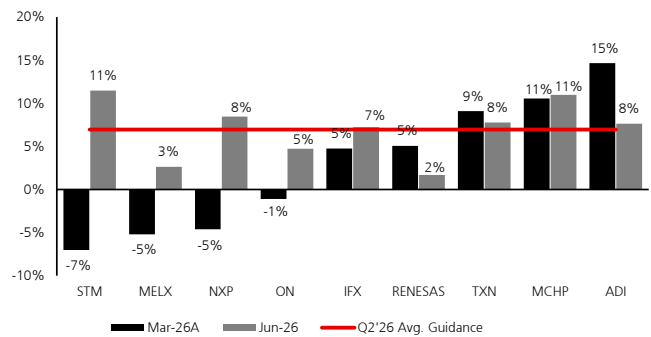
We also note that Q2'26 guidance for the main analog semis players implies +18% growth y-o-y on average. Semis delivered +3% q-o-q revenue growth in Q1'26, and Q2'26 guidance suggests growth of +7% q-o-q on average, versus a five-year q-o-q historical average of +4% for Q2s.

Figure 48: CQ2 26E Guidance Comp. YoY % Analog Semis



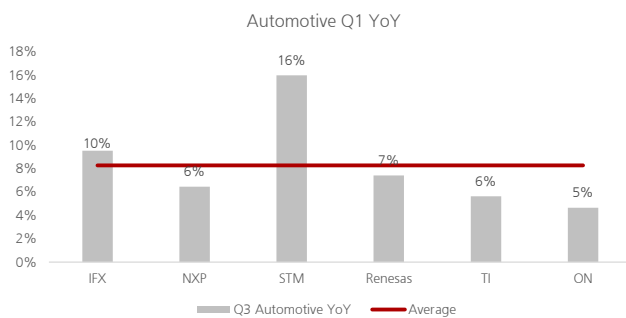
Source: Company data. Note: *Renesas - growth adj. for acquisition of Dialog

Figure 49: CQ2 26E Guidance Comp. QoQ % Analog Semis



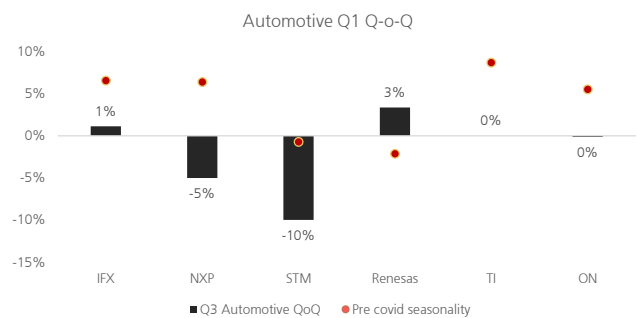
Source: Company data. Note: *Renesas - growth adj. for acquisition of Dialog

Figure 50: Q1 Automotive revenues YoY



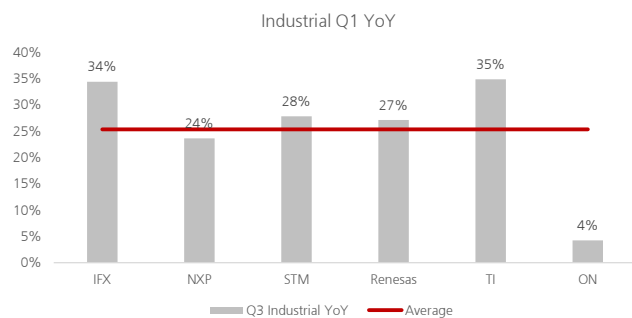
Source: Company data, UBS

Figure 51: Q1 Automotive revenues QoQ



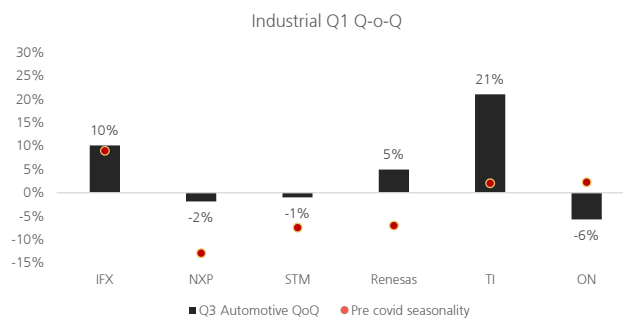
Source: Company data, UBS

Figure 52: Q1 Industrial revenues YoY



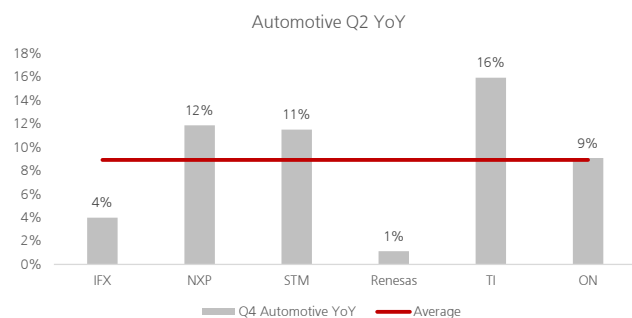
Source: Company data, UBS

Figure 53: Q1 Industrial revenues QoQ



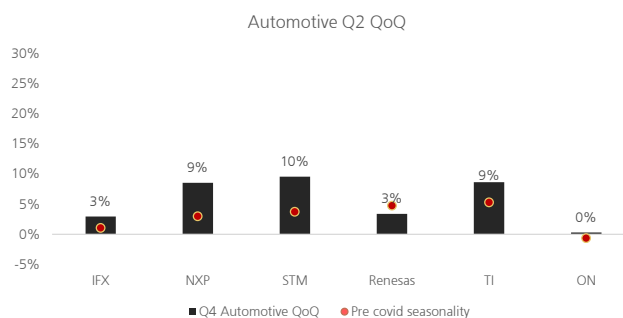
Source: Company data, UBS

Figure 54: Q2 Automotive revenues YoY



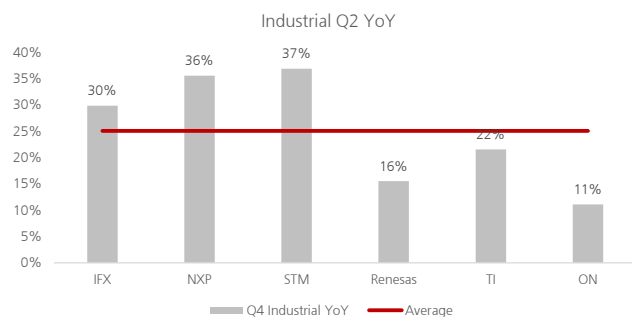
Source: VA consensus, UBS

Figure 55: Q2 Automotive revenues QoQ



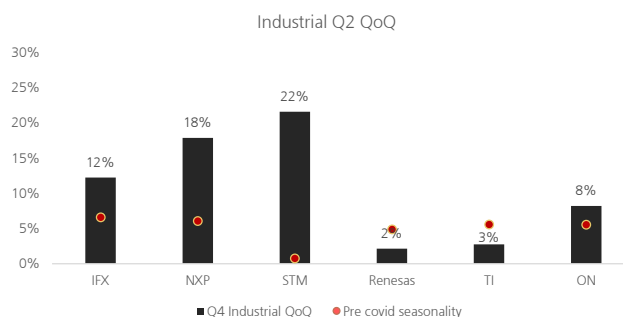
Source: VA consensus, UBS

Figure 56: Q22 Industrial revenues YoY



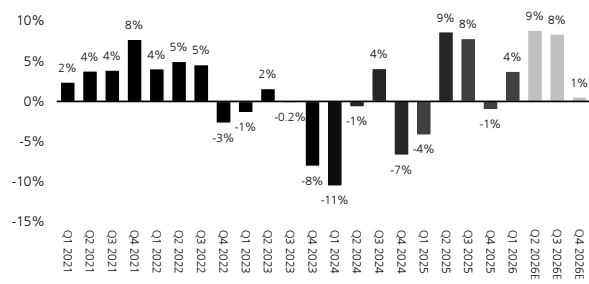
Source: VA consensus, UBS

Figure 57: Q2 Industrial revenues QoQ



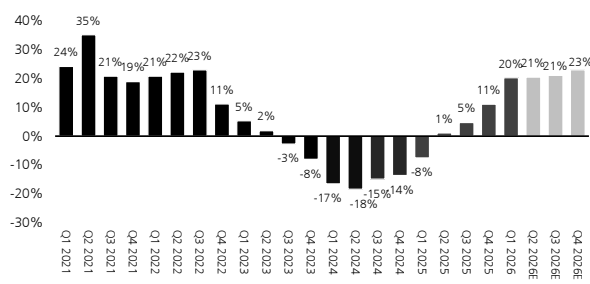
Source: VA consensus, UBS

Figure 58: We expect next quarter to grow by 9% q-o-q after a decrease of 4% in Q1'26...



Source: UBS estimates, company data. Note: data includes TI, ON, ADI, IFX, STM, Microchip, Melexis, NXP, Renesas

Figure 59: ...Q2'26E likely to deliver 21% y-o-y growth after 20% in Q1'26



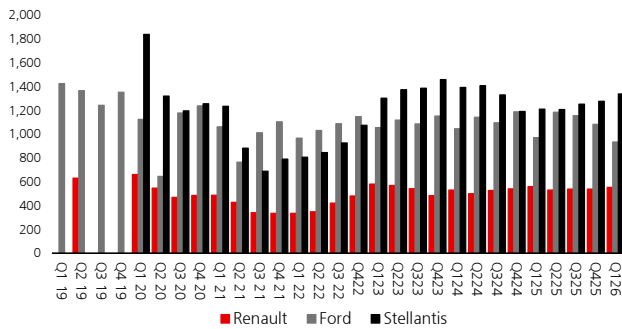
Source: UBS estimates, company data. Note: data includes TI, ON, ADI, IFX, STM, Microchip, Melexis, NXP, Renesas

Leading indicator analysis

Inventories stabilising at high levels

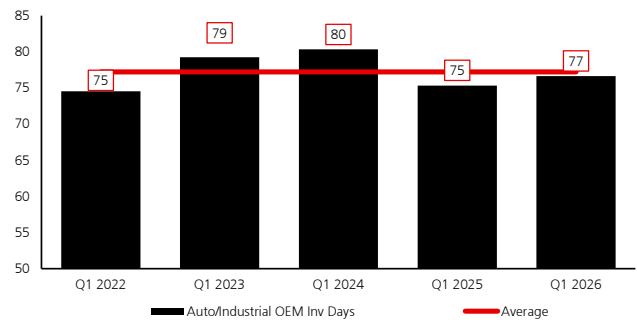
Overall autos/industrial inventory days: On a combined basis, the inventory level continued to be stable in Q1'26 and at the seasonal normal for Q1s. Hence, inventory days (DOI) were at c77, up 2 days vs Q1'25 and at normal DOI of 77 (five-year average for Q1s).

Figure 60: Total inventories '000 units: inventories were up 3% during 1Q26 vs 1Q25 levels



Source: Company data, UBS estimates

Figure 61: Q1s Autos/Industrial OEMs inventory days



Source: Company data, UBS estimates

LEAD INDICATORS CONTINUE TO BE SUPPORTIVE

We believe lead indicators are positive into FY26E.

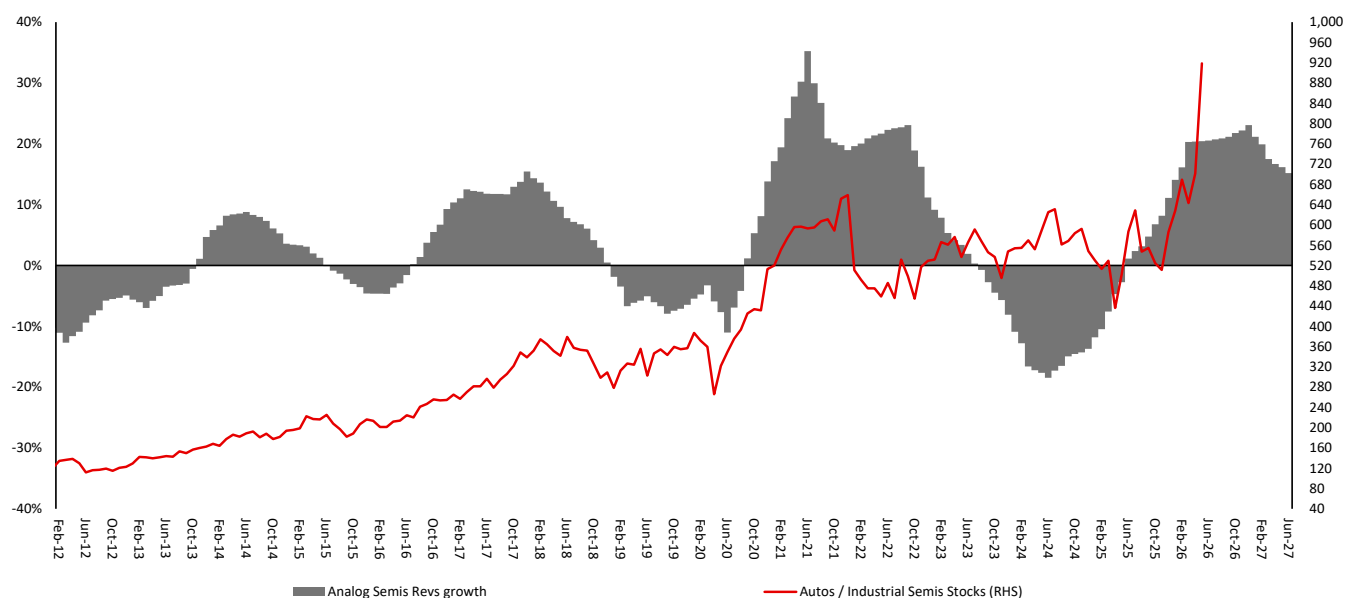
Figure 62: UBS leading indicators for Autos/Industrial semis

Indicator	Q1'23	Q2'23	Q3'23	Q4'23	Q1'24	Q2'24	Q3'24	Q4'24	Q1'25	Q2'25	Q3'25	Q4'25	Q1'26	Q2'26E	Commentary
1) Semis y-o-y revenue growth	5%	2%	-3%	-8%	-17%	-18%	-15%	-14%	-8%	1%	5%	11%	20%	21%	Positive - Revenue turned positive in Q2'25 and is estimated continue to accelerate into FY26E
2) Semis vs OEM revenue gap	-4%	-12%	-13%	-15%	-15%	-16%	-12%	-12%	-6%	-2%	-3%	7%	15%	19%	Positive - gap turned positive at the end of FY25, and expected to continue into H1'26
3) Inventory days - Semis	144	148	147	155	166	170	167	181	179	175	166	170	171	164	Positive - Inventory days showing stability in Q1 26
4) Inventory days - OEMs	79	84	77	77	80	84	79	74	75	73	72	73	77	74	Neutral - Inventory days showing signs of small increase in Q1 and expected to decrease in Q2
5) Autos production y-o-y	7.4%	17.1%	5.2%	10.5%	0.1%	-0.6%	-4.5%	1.0%	3.6%	3.4%	6.7%	1.1%	-	-	Neutral -Production was robust in 2025 with +3.6% growth y-o-y. We estimate +1.3% y-o-y in 2026E but with signs of decline in China

Source: UBS estimates

1) Y-o-Y growth rebounded in H2'25: Share price strength has been driven by macro and also investor hopes for a soft landing, in our view.

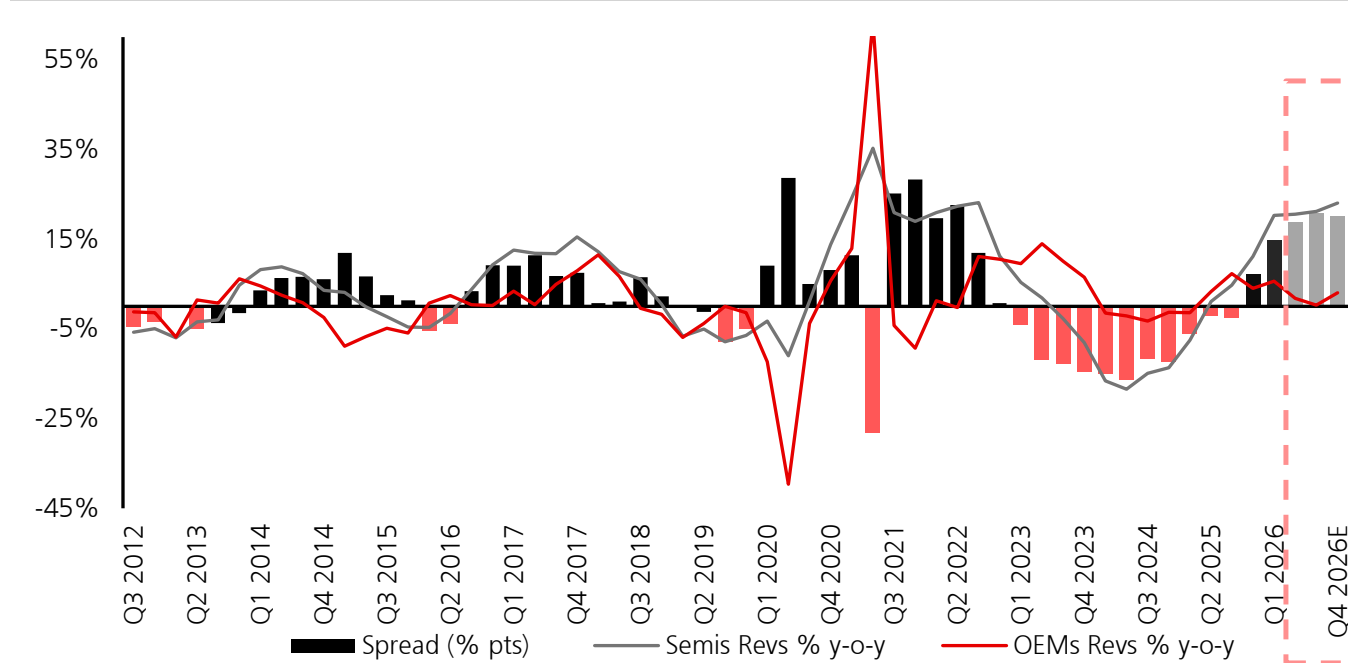
Figure 63: Analog semis revenue growth (3-mth rolling) vs. stock performance



Source: UBS estimates, Company data, Datastream. Note: Analog Semis group consists of ADI, RENESAS, ON Semi, STM, TXN, IFX, MCHP, MELEXIS, NXP

2) Semis vs OEM gap analysis – OEMs' lead comes to an end: The gap shifted back in favour of semis in Q4'25, and is expected to remain in their favour in FY26E.

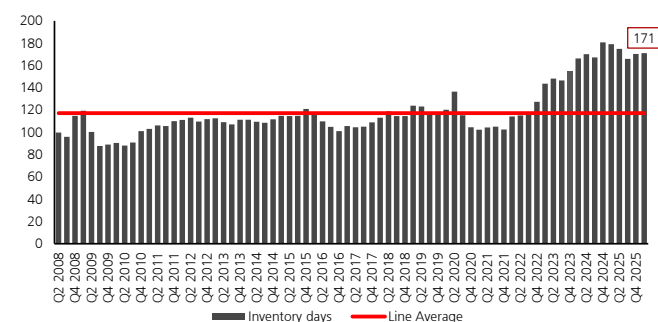
Figure 64: Semis revenue growth vs OEM growth



Source: UBS estimates, Visible Alpha, company data

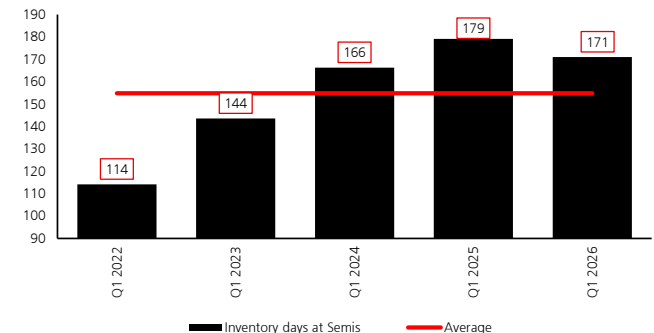
3) Semis inventory – Days of Inventory on hand (DOI) stood at 171 days in Q1'26. As a result, on a seasonal basis, we see semis sitting at a higher level than the five-year average for Q1s of 155 days, and c8 days below Q1'25. Looking into Q2'26E, supply expectations point to lower inventory levels in comparison to Q1, with c164 days expected.

Figure 65: Autos/industrial semis inventory days



Source: Company data, UBS estimates

Figure 66: Q1 autos/industrial semis inventory days

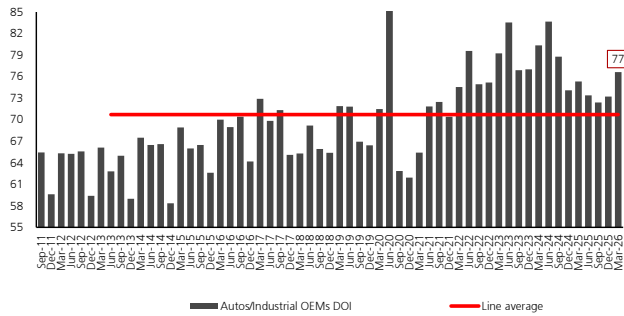


Source: Company data, UBS estimates

4) OEM Inventory – below medium term averages:

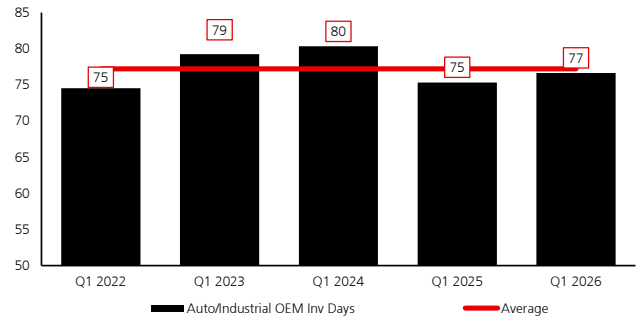
- **Overall autos/industrial inventory days:** On a combined basis, the inventory level appears to be stable in Q1'26 and at the seasonal normal for Q1s. Hence, inventory days (DOI) were at c77, 2 days above Q1'25 and at normal DOI of 77 (five-year average for Q1s).

Figure 67: Autos/Industrial OEMs inventory days



Source: Company data, UBS estimates

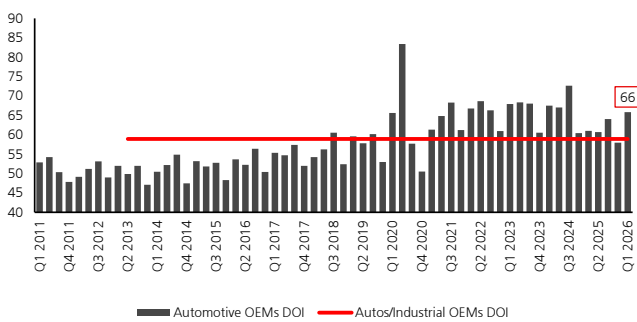
Figure 68: Five-year Q1s Autos/Industrial OEMs inventory days



Source: Company data, UBS estimates

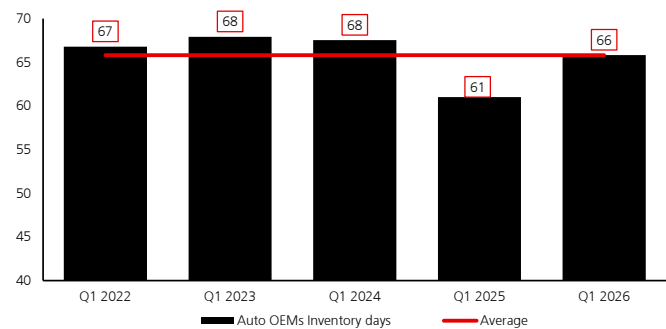
● Automotive inventory days in line with five-year Q1 average

Figure 69: Auto Tier 1/OEM inventory days



Source: UBS, Company data

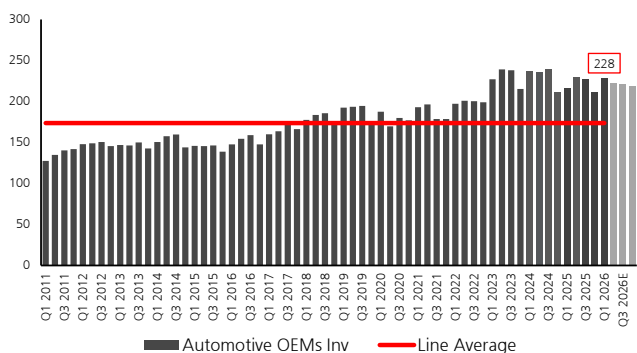
Figure 70: Five-year Q1s Auto Tier 1/OEM inventory days



Source: UBS, Company data

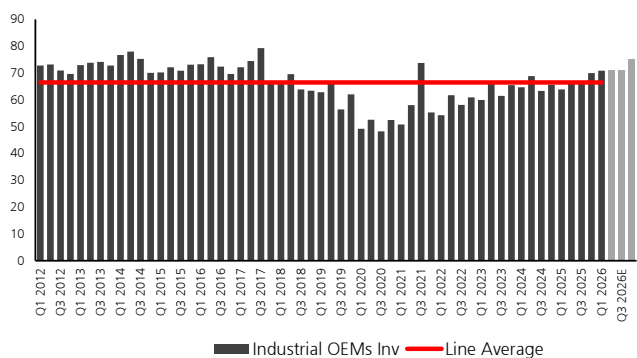
- **Absolute inventories higher than history at Auto OEMs:** Within automotive, we currently see the inventories stand at levels well above the historical average, with similar levels through 2025. At Industrial OEMs, the inventory level is declining in \$-denominated terms and is expected to be slightly above historical average in Q2'26E.

Figure 71: Absolute automotive inventory level (US\$bn)



Source: UBS, Company data

Figure 72: Absolute industrial inventory level (US\$bn)



Source: UBS, Company data

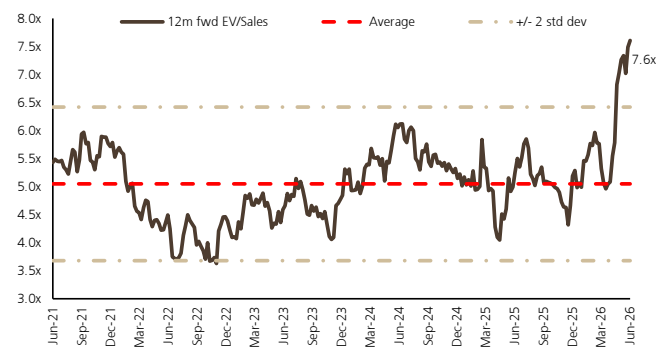
Figure 73: Comments on inventory from Automotive OEMs/suppliers

Companies	Comments
Arrow electronics	Our inventory is turning at a more normal pace compared to historical trends.
	Inventory at the end of the fourth quarter was \$5.1 billion, and our inventory turns improved, reflecting disciplined working capital management.
	Inventory normalization throughout the supply chain is still in progress.
Avnet	We did see inventories increase during the December quarter, I'm assuming to support future growth.
	From an inventory perspective, we reduced inventory by \$126 million or 2.3% sequentially.
	We ended the quarter with 86 days of inventory as we continue to make progress on reducing total Avnet inventory days to below 80.
Atlas Copco	Even with the overall inventory improvement, our team remains focused on reducing inventory levels where elevated while still making inventory investments where needed.
	We see some organic improvements such as in the inventories , for example, which will also be noticeable in the cash flow.
	We keep healthy inventories , 539,000 total inventories.
Renault	As of December 31, total inventories of new vehicles stood at a healthy level to operate and represented 539,000 units, of which 442,000 at independent dealers and 97,000 at group level.
	This level of inventories is supported by a 3% growth of the order intake, resulting in an order book of 1.5 months of forward sales at year end 2025.
	We also stayed disciplined on inventory , cutting US gross stocks by 16% and ending the year at 56 retail days supply, the low end of our target range.
Ford	We ended the year with 48 days of dealer inventory , which is slightly below our 50 to 60-day year-end target.
GM	We're not banking on any significant inventory builds, although it is an opportunity potentially to get back into that 50- to 60-day range.
Daimler	In 2025, we had a favorable support from working capital, lower inventories , but also lower receivables due to a lower sales volume.
Volvo	We wanted to ensure that we did sell out more retail inventories , and we now have a situation that is in good balance when it comes to the inventories .
	In addition, refilling of inventory at dealers given the better outlook now, and where also dealers would like to have the right type of capacity to deliver to the market.

Source: Company conference call transcripts and Q1 26 press releases, UBS

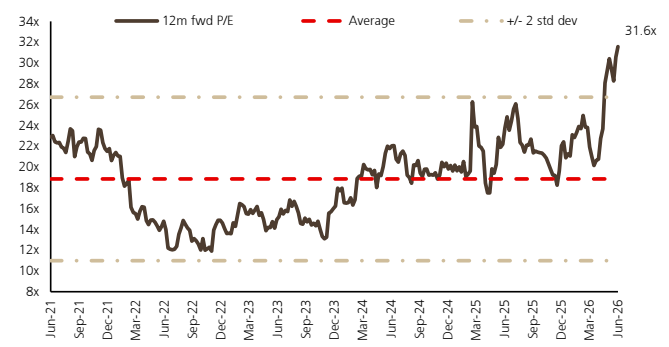
VALUATION

Figure 74: Autos/Industrial semis Forward EV/Sales



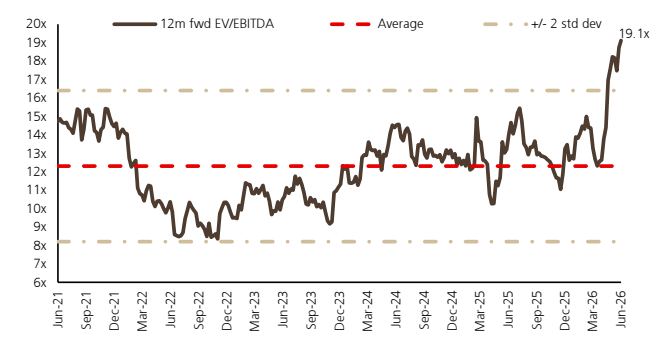
Source: UBS, Datastream

Figure 75: Autos/Industrial semis Forward P/E



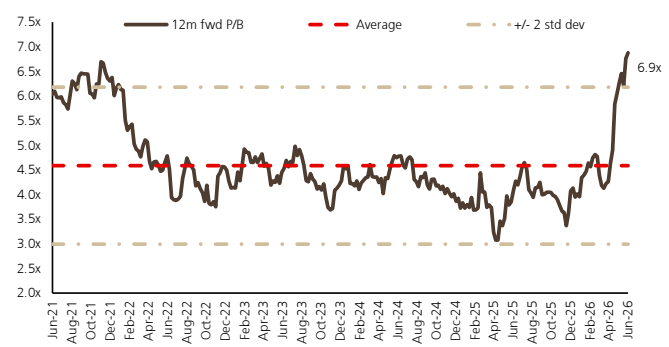
Source: UBS, Datastream

Figure 76: Autos/Industrial semis Forward EV/EBITDA



Source: UBS, Datastream

Figure 77: Autos/Industrial semis Forward P/BV



Source: UBS, Datastream

Figure 78: Recent commentary from major Analog Semis

Company	Date	Last Qtr	Next qtr guidance (mid-point guidance)	Inventories	End market trends	Orders book-to-bill	General comments
Texas Instruments	22-Apr	9% q-o-q 19% y-o-y	8% q-o-q 17% y-o-y	Inventory at the end of the quarter was \$4.7 billion, down \$109 million from the prior quarter and days were 209, down 13 days sequentially.	Industrial increased more than 30% year-on-year and was up more than 20% sequentially, growing broadly across all sectors and regions. Automotive increased mid-single-digits year-on-year and was about flat sequentially. Data center grew about 90% year-on-year and grew more than 25% sequentially.	NA	The overall semiconductor market recovery is continuing and we remain well positioned with inventory and capacity that allows us to support our customers with competitive lead times through the cycle.
STMicro	23-Apr	-7% q-o-q 23% y-o-y	11% q-o-q 25% y-o-y	During the first quarter, inventory in our balance sheet increased slightly and we continued to work down inventories in distribution. They are now normalized. Inventory at the end of this quarter was \$3.17 billion, compared to \$3.14 billion in Q4 2025 and \$3.01 billion in Q1 2025. Days sales of inventory at quarter-end were 140 days, in line with our expectation, compared to 130 days of the previous quarter and 167 days in the year-ago quarter.	By end market, Communication Equipment & Computer Peripherals grew 41%, Industrial 26%, Personal Electronic 21%, and Automotive 15%. Year-over-year, sales to OEMs and distribution increased 24.5% and 19.2%, respectively.	We had a strong booking momentum during Q1, with book-to-bill well above 1 across all end markets and regions.	In the first quarter, despite the macroeconomic uncertainty, we saw improving demand with strong booking and normalized inventory in distribution. In the second quarter, we expect revenues well above average seasonality, as well as an increased gross margin.
NXP	28-Apr	-5% q-o-q 12% y-o-y	8% q-o-q 18% y-o-y	Days of inventory were 165 days, including 7 days of prebuilds. Inventory levels remain aligned to support our future growth and our planned front-end factory consolidation plans.	Our company specific strategic growth drivers across the auto and Industrial & IoT markets grew 18% year-over-year and represented roughly one-third of first quarter revenue. Our core businesses encompassing all end markets increased 10% year-over-year, underscoring that momentum is broadening beyond the strategic drivers.	Direct order book continues to strengthen. The distribution backlog continues to improve.	We expect Q2 revenue of \$3.45 billion, plus or minus \$100 million. This is up 18% year-on-year and 8% sequentially. The expected first half results support our view that NXP's growth is increasingly company-specific.
Microchip	7-May	11% q-o-q 35% y-o-y	11% q-o-q 35% y-o-y	Our inventory balance at March 31, 2026 was \$1.035 billion and down \$22.3 million from the balance at December 31, 2025. We had 185 days of inventory at the end of the March quarter, which was down 16 days from the prior quarter's level driven by our inventory reduction actions and increased revenue.	Automotive, industrial, communication, data center, aerospace and defense, and consumer are all looking better. In the June quarter, we expect strong growth from data center, A&D sector, industrial, and automotive end markets.	Our bookings for the March quarter were significantly higher than those for the December quarter. The book-to-bill ratio for the March quarter was well above 1, resulting in a much higher backlog entering the June quarter compared to when we entered the March quarter, and April was the largest booking month in almost four years.	We expect our inventory will come down naturally towards our goal of 130 to 150 days as revenue grows, and we appropriately manage our manufacturing, and foundry resources.
Infineon	6-May	5% q-o-q 18% y-o-y	7% q-o-q 14% y-o-y	Looking at our inventories, their reach went slightly down from 183 days to 175 days quarter-over-quarter, including some safety stocks, inventories related to our manufacturing footprint optimization over the last years and pre-builds. We are fully on track to meet our target for the end of the fiscal of around 150 days.	In Automotive, low customer inventories are triggering the start of a broader replenishment, leading to a rising order intake. Industrial markets are supported by rising power infrastructure-related demand.	As a clear indication of the recovery momentum, our order backlog increased materially quarter-over-quarter by €4 billion to around €25 billion at the end of March.	In general terms, the upcycle is gathering intensity, breadth and speed, as the recovery is broadening across more and more of our target markets. On the demand side, we see stronger bookings leading to a growing backlog. Visibility is expected better even beyond our fiscal year, as customer orders are stacking up nicely for the coming quarters.
ON Semi	4-May	-1% q-o-q 5% y-o-y	5% q-o-q 8% y-o-y	Inventory increased by \$60 million to 201 days from 192 days in Q4. The sequential increase was a result of higher internal loadings and customer commitments. This includes 75 days of strategic inventory, which is down from 76 days in Q4 as we continue to deplete this inventory over the next two years.	We continue to see stabilization in the automotive market, and we now believe we're shifting to natural demand. We saw broad-based strength across our traditional industrial business for the second consecutive quarter, partially offset by typical Chinese New Year seasonality.	In the first quarter, order patterns and improving backlog visibility indicate that we're moving away from the bottom of the cycle and we are on a path to recovery.	For automotive in Q2, we think will be roughly flat. We haven't seen the full recovery or the replenishment cycle in automotive yet. For our industrial business, we're looking up mid-single digit, percentage wise.

Source: Company results post Q1 2026, call transcripts; Note: Implied from the midpoint guidance in USD terms.

Valuation Method and Risk Statement

The upside risks to the semiconductor sector include stronger end demand from OEMs and tightness of supply due to the financial distress of competitors. Downside risks include macro-economic factors, over-capacity in times of peaking demand and poor yields. The semiconductor sector is high cyclical and vulnerable to sudden shifts in customer sentiment while many companies also have high cost bases meaning they can go loss-making in the downturn. Valuation methodologies in the sector include DCF analysis.

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Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 31 March 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Analog Devices Inc ^{16,28}	ADI.O	Buy	US\$404.62	09 Jun 2026
Infineon Technologies AG ²⁸	IFXGn.DE	Neutral	€75.66	09 Jun 2026
Melexis NV ²⁸	MLXS.BR	Neutral	€79.20	09 Jun 2026
Microchip Technology Inc ^{16,28}	MCHP.O	Buy	US\$91.47	09 Jun 2026
NXP Semiconductors ^{2,4,16,28,7,6a,6b}	NXPI.O	Buy	US\$297.41	09 Jun 2026
Onsemi ^{5,16,28,18,20}	ON.O	Neutral (CBE)	US\$117.00	09 Jun 2026
Renesas Electronics ²⁸	6723.T	Buy	¥4,308	10 Jun 2026
Rohm ²⁸	6963.T	Neutral	¥4,739	10 Jun 2026
STMicroelectronics ^{5,16,28}	STMPA.PA	Buy	€61.52	09 Jun 2026
Texas Instruments Inc ^{16,28}	TXN.O	Buy	US\$288.63	09 Jun 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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